SilverShore Acquisition Playbook (Introduction Module)

Introduction Module

The System for Turning Introductions Into Closed Deals

Finding a good company to buy is hard. But closing the deal is harder.

This playbook is about what happens after you get introduced to a qualified opportunity. How you move from "interesting business" to "signed purchase agreement" without losing the deal, the owner's trust, or your mind.

A lot of lower middle market acquisitions stall or die between introduction and close. Not because the business is bad. Not because the price is wrong. But because the buyer does not have a system for managing the messy middle.

This playbook is that system.

The Problem

Why LMM Deals Fall Apart

You get introduced to a solid company. The owner seems interested. The financials look reasonable. Then everything falls apart.

The owner stops responding after the first call. You spend 3 weeks waiting for information that never comes. You finally get financials, but they don't make sense. You send an LOI, and the owner gets cold feet. Legal drags on for months while the relationship deteriorates. The deal falls apart 2 weeks before close over something that should have been addressed in month 1.

This is a common pattern in the lower middle market. Not because buyers are incompetent or owners are difficult, but because there is no established process.

Here is what you are dealing with in LMM deals. Owners have never sold a business before. Financials are not cleaned up or organized. There is no banker managing timelines. There is no data room ready to go. The owner is still running the business full-time. Nobody knows what is supposed to happen next.

In larger deals, the infrastructure exists. Investment banks run the process. Lawyers know the playbook. Information is organized. Timelines are clear.

In the LMM, you are building the airplane while flying it.

The Solution

A Repeatable System

In the lower middle market, the buyer who wins is rarely the one with the most capital or the biggest name. It is the buyer who can create structure inside a messy process and make it feel simple for the owner to keep moving forward.

That takes a system.

This playbook gives you a repeatable way to run deals from introduction to close, even when information is imperfect, timelines shift, and the owner is learning the process in real time.

Here is what you will learn.

- How to qualify a deal fast in the first conversation so you do not spend weeks chasing something that was never actionable.
- How to run conversations that build trust while still getting to the truth on motivation, risks, and decision making.
- How to turn scattered information into a clear deal narrative your partners, lender, or IC can understand.
- How to run diligence in a way that is organized and collaborative, without overwhelming the owner or turning the process into an audit.
- How to present terms in a way that keeps momentum and avoids surprises, so the deal progresses instead of stalling.
- How to keep the legal process aligned with the business agreement, so documentation supports the deal instead of dragging it out.
- How to move from signed documents to Day 1 execution with a transition plan that protects continuity.

This playbook is not theory. This is a field tested operating system based on patterns we have seen across real founder conversations and introductions, and what consistently separates deals that close from deals that slowly die.

Why Lower Middle Market Deals Are Different

If you have done larger acquisitions, you need to understand what changes at this level.

In traditional M&A, investment banks control the process and timeline. Information is packaged and presented in an organized data room. Management teams exist below the owner. Buyers compete in a structured process with clear deadlines. The owner has advisors who have done this many times.

In LMM acquisitions, you are often the one creating the process and timeline. Information lives in the owner's head or in unorganized files. The owner is the business. There may be no team below them. You are building a relationship and the terms simultaneously. The owner's advisors are learning alongside them.

This is not a disadvantage. It is an opportunity.

The buyer who can provide structure without pressure, move fast without rushing, and stay professional without being overly formal has a real edge.

But you need a system that accounts for this reality.

The 5 Principles Behind Every Module

1. **First,** qualify early and qualify honestly. You do not need to be aggressive, but you do need to be direct. The fastest way to kill momentum is letting a deal feel real for weeks before you confirm basics like goals, timing, decision makers, and what the business actually looks like on paper.
2. **Second,** create a clear next step every time. Ambiguity kills deals. Every call and every email should end with a simple agreement on what is being shared, who is doing what, and when you will reconnect.
3. **Third,** build trust through competence. Owners do not need you to be impressive. They need you to be organized, prepared, and consistent. When you ask good questions, summarize accurately, and follow through quickly, trust builds without you trying.

4. **Fourth,** respect the owner's pace while protecting momentum. The owner is still running the business. You cannot force their schedule. But you can run a clean process, keep timelines visible, and make it easy for them to keep moving without feeling pushed.
5. **Fifth,** diligence is a collaboration with standards. It is not an audit and it is not a fishing expedition. The goal is to confirm the story, surface risks early, and decide what changes the deal. Ask why before you ask for more, and keep requests tied to a decision you are trying to make.

If you want the fastest way to stay organized after a qualified introduction, use the **SilverShore Due Diligence Request List & Checklist** alongside this playbook. It is structured in three checkpoints so you can decide early, keep requests tight, and avoid getting anchored on a bad deal.

What Good Execution Looks Like

Here is what separates disciplined buyers from everyone else.

In weeks 1 and 2, you know within the first call if this is worth pursuing. The owner understands your process and timeline. You have a preliminary financial snapshot and key business metrics.

In weeks 3 and 4, you can explain the business model to your partners without the owner present. Major diligence questions are answered through structured follow up. The owner stays engaged and responsive.

In weeks 5 and 6, terms are discussed verbally before anything is drafted. The LOI reflects conversations, not surprises. The owner signs quickly because expectations are aligned.

In weeks 7 through 16, diligence confirms what you already believe. No major surprises. Legal moves efficiently because business terms were clear from the start. The owner stays engaged through documentation instead of disappearing. You close in 60 to 75 days from signed LOI.

These timelines are realistic when you control momentum and surface issues early.

Who This Playbook Is For

This is for buyers who have access to opportunities but need better execution.

You should read this if you get introductions but deals keep stalling out. If owners go quiet after initial interest and you do not know why. If you spend months in diligence and still do not feel confident. If your LOIs get negotiated to death or rejected outright. If deals fall apart in legal and you are not sure what happened. If you want to move faster without damaging relationships.

You do not need this if you only do large, intermediated deals with full sell-side teams. If you are still trying to figure out how to source opportunities. If you have a full corporate development team running your process.

This playbook is built for buyers who are hands-on in the deal process and need a repeatable system for LMM transactions.

What You Will Learn

Module by Module

1. **Module 1** covers pre LOI validation and momentum. How to run the first call, set expectations, and secure the right access. How to run a fast proof test, request the minimum viable data set, build an initial underwriting view, and finish with a Go No Go memo you can defend to partners or a lender within the first two weeks.
2. **Module 2** covers LOI strategy and exclusivity. How to write an LOI that actually protects you, gets signed quickly, and buys you a clean 30 to 45 day diligence window without competition. It focuses on the LOI terms that matter most, how to frame structure early, and how to tie timing and cooperation to exclusivity so the process stays moving.
3. **Module 3** covers post LOI diligence that drives decisions. How to confirm underwriting assumptions, validate earnings quality and add backs, understand working capital and customer health, and turn findings into clear deal actions early enough to preserve trust. The outcome is not a giant report. The outcome is a short list of changes to price, structure, protections, or a clean walk away decision.
4. **Module 4** covers deal structuring and negotiation. How to diagnose seller type and motivation, then choose the right tools like earnouts, seller notes, rollover equity, escrows, and holdbacks. It also shows how to pitch structure as alignment and fairness, not punishment, and how to use structure both proactively and as a response to diligence findings.
5. **Module 5** covers close execution and the first 60 days post close. How to translate agreed terms into a purchase agreement without letting lawyers run the business deal. What to focus on in the ten terms that actually matter, how to run the closing process so it stays on schedule, and how to hit Day 1 with full access and a transition plan that stabilizes operations before you change anything.

How to Use This Playbook

If you are new to LMM deals, read straight through from Module 1 to Module 5. The system is designed sequentially.

If you are mid-deal and stuck, jump to the module that matches your current stage. Each one works standalone.

If you have done deals but they feel chaotic, read the whole thing to identify where your process breaks down and how to fix it.

This is not a resource you read once. It is a reference system you come back to every time you run a new process.

What This Playbook Will NOT Do

Let's be clear about what this playbook does not solve.

- It will not make a bad business good.
- It will not fix misaligned buyer-seller expectations on value.
- It will not replace good judgment or experienced advisors. It will not guarantee every deal closes.

What This Playbook Will Do

This playbook will give you a repeatable process so you're not reinventing it every time.

- It will help you qualify faster so you do not waste months on bad fits.
- It will show you how to maintain momentum without creating pressure.
- It will teach you how to structure conversations that build trust and uncover truth.
- It will increase your close rate from LOI by preventing avoidable deal breakage.

Think of this as the operating system for LMM deal execution. You still need good judgment. But good judgment works better with good process.

Ready to Begin?

The first conversation with an owner determines everything that follows.

Most buyers treat it like a get-to-know-you call. That is a mistake.

The first call is where you qualify the opportunity, set expectations, establish credibility, and create momentum. It's either that, or you waste the next 3 months learning you should have passed on day 1.

Module 1 shows you exactly how to structure that conversation.

Continue to Module 1 for the first call framework.

About The SilverShore Business Acquisition Playbook

This playbook is based on SilverShore Partners' methodology for facilitating lower middle market transactions. We connect strategic acquirers with business owners across manufacturing, distribution, healthcare services, B2B services, & home services.

For services inquiries, contact Shane Gardner at SilverShore Partners. Email shane@silvershorepartners.com or call **281-908-0889.**

The SilverShore Business Acquisition Playbook provides operational guidance, not investment, legal, or financial advice. SilverShore Partners operates as an exempt M&A broker under Section 15(b)(13) of the Securities Exchange Act of 1934. We do not negotiate transactions, provide valuation advice, or structure deals. Consult qualified professional advisors for all transaction decisions.

SilverShore Acquisition Playbook (Module 1)

Module 1: Pre-LOI Validation & Momentum

You just got introduced to what looks like a solid opportunity. The owner seems interested, the numbers sound reasonable, and your instinct says this could work.

Here is what most buyers do next. They spend weeks trading emails, they schedule a few calls, they ask for financials, and then they wait. This makes momentum fade, the owner ends up going quiet.

Disciplined buyers do something different. They run a structured 14 day pre-LOI validation process that answers one question with high confidence.

Is this deal real, and can I underwrite it well enough to go exclusive?

This module is that process.

Quick Start: Your 14 Day Roadmap

- **Day 1:** First call and Tier 1 document requests
- **Days 2 to 3:** Recent cash flow proof test
- **Days 4 to 6:** Tier 2 document request & historical cash flow proof test
- **Days 7 to 10:** Deal killer scan & quick underwriting model
- **Days 11 to 14:** Go No Go Checklist and LOI decision

What you are actually trying to accomplish

You are not trying to complete full diligence on the first call or even in the first week. This phase is about validation. The goal is to get to an LOI with enough confidence that going exclusive is rational, not hopeful.

Before you write an LOI, you need to validate 3 things.

1. **First,** the financials are real. Revenue exists in the bank. The P&L ties to cash closely enough to trust it. EBITDA is defensible after normalizing obvious noise. You are not buying a story or a spreadsheet that only works in the owner's head.

2. **Second,** there are no deal killers. You are scanning for the handful of issues that routinely blow up LMM transactions once you are already deep into diligence. Customer concentration that is too extreme, owner dependency that is not transferable, legal or regulatory exposure, broken asset ownership, hidden obligations. You do not need every detail yet. You need to know whether anything is structurally fatal or whether it can be addressed through terms.
3. **Third,** you can defend a valuation range. Your partners or lender will not accept "it feels like a good deal." You need a conservative, base, and optimistic view of earnings and a price range that maps cleanly to that range, with clear logic behind your assumptions.

If you cannot accomplish these three within 14 days, something is off. Either the seller is disorganized, the seller is avoiding disclosure, or your process is not tight enough to keep momentum and force clarity.

Why speed matters

Speed is not about pressure. It is about clarity and momentum. When you move quickly with a structured process, the owner can feel that you are serious and capable, which increases the odds they stay engaged and prioritize your requests.

Speed also protects you from wasting time. Early responsiveness is one of the best predictors of how the rest of the process will go. If the seller cannot produce basic Tier 1 information within a reasonable window, full diligence will likely drag, communication will slip, and you will spend weeks chasing answers instead of making decisions.

The win condition for this module is simple. By day 14, you should be able to complete the Go No Go checklist so you can defend and clearly explain a valuation range based on what you have validated so far.

Section 1: First Call Framework

What the first call is really about

The first conversation with an owner determines everything that follows. This call has three jobs.

1. Get the story
2. Set expectations
3. Secure access to the information you need to validate the deal

You have 45 to 60 minutes. Use them well.

The 3 part structure

Part 1: Their story

Let the owner talk. You are trying to understand how they built the business, what makes it work, and what they would do with more capital.

Start with: How did you build this?

Then: What makes it work?

Finish with: What would you do with more capital?

You are listening for clarity and specificity. Great service is not an answer. Why customers choose them is the answer.

Part 2: Deal expectations

After learning about their story, shift to asking about their intentions.

- What is their timeline?
- What structure are they thinking?
- How involved do they want to stay?

The goal is not to pressure them. The goal is to learn whether the deal is actionable.

Part 3: Access and next steps

End the call by securing access to Tier 1 information and locking a timeline.

Say something like:

“Based on what you shared, I think this could be a fit. To take the next step, I need to review a small set of your financials to validate the basics. This is not full diligence, just a quick review so I can come back with a preliminary range and a clear plan for next steps. Can you share your last 3 months of bank statements, the P&L for the same period, a trailing 12 month P&L, and a simple revenue by customer breakdown for the last 12 months? If those check out, we will move to the next stage.”

If the seller says yes, set a deadline and schedule the next call before you hang up.

If they hesitate or say they need to talk to their accountant, treat it as a signal that this opportunity may move slower than you want.

First call decision check: proceed, reconsider, or walk

After the first call, you are not grading the owner. You are deciding whether to invest more time into deal conversations.

Use 4 quick checks and make a clear call.

Motivation

- **Proceed** if the owner has a clear reason for selling and a real timeline.
- **Reconsider** if they are exploring options with no urgency but are still willing to run a structured process.
- **Walk** if they are only curious about value and cannot commit to next steps.

Financials access

- **Proceed** if they will share the Tier 1 documents within 48 hours.
- **Reconsider** if they need a few extra days but can give you a firm deadline and follow through.
- **Walk** if they will not share basic information or the process is already turning into long delays.

Realism on value and structure

- **Proceed** if they can discuss value rationally, reference multiples or comps, and show flexibility on structure.
- **Reconsider** if expectations are unclear but they are open to learning and aligning after you share your approach.
- **Walk** if expectations are unrealistic and rigid, and they refuse to engage on how deals actually get done.

Team depth and transferability

- **Proceed** if there is a management layer or clear coverage beyond the owner.

- **Reconsider** if the business is owner dependent but there is a workable transition path, including key employee retention and a defined owner handoff.
- **Walk** if everything lives in the owner's head with no plan or willingness to make it transferable.

Bottom line decision

- **Proceed** when most checks clear and the seller commits to the next step with a deadline.
- **Reconsider** when one area is shaky but solvable with structure and a tighter process.
- **Walk** when any check makes the deal non actionable or signals you will be chasing information for weeks.

Decision gate

Proceed if they commit to Tier 1 and a firm delivery date.

Reconsider if they cannot deliver Tier 1 quickly but will agree to a deadline and you are willing to wait.

Walk if they refuse Tier 1 or avoid basic disclosure.

Section 2: The Cash Flow Proof Test

Why this matters

The owner told a good story. Now you must verify it before investing weeks of time, attention, & diligence work that can easily get wasted on a deal that isn't real on paper.

The proof test uses 3 quick checks on Tier 1 documents to confirm cash reality before you escalate to Tier 2.

If there is no NDA yet, keep Tier 1 tight on purpose. You can sign an NDA before requesting tax returns, general ledger, or long bank history.

The staged request and proof tests

This step works because it is staged. You do not ask for a full data room on day one. You ask for the minimum set of documents that lets you validate reality fast. If those documents align with your standards, you should sign an NDA and escalate your requests to Tier 2 information. If they don't, walk and you will save weeks of time.

Tier 1: Recent cash flow documents

Request this information immediately. Tier 1 is designed to answer one question.

Is the business real on cash, and close enough to the P&L to justify more work?

Tier 1 documents:

- Last 3 months business bank statements
- Last 3 months P&L for the same period
- Trailing 12 month P&L
- Revenue by customer for the last 12 months

Tier 1 Proof Test

Once Tier 1 arrives, run 3 quick checks. The goal is not perfection. The goal is to confirm whether the numbers are trustworthy enough to keep moving and whether you should escalate the request.

Test 1: Bank reconciliation

Add up deposits across the three month bank statements. Compare that total to the revenue shown on the P&L for the same three months. Some variance is normal due to timing, especially with card payments and receivables. A typical range is 10 to 15%. If you are seeing variances consistently above 20%, you need a specific explanation backed by documentation, not a story.

Test 2: Customer concentration

Use the revenue by customer breakdown to calculate what percent of revenue comes from the top customer and the top three customers. A top customer above 30% is a structural risk. A top customer above 50% is a major risk that usually requires protection through structure, such as an earnout tied to retention or a longer transition. If the top three customers represent more than 70% of revenue, you have concentration risk no matter how the split looks.

Test 3: Expense pattern check

Scan the bank statements for obvious patterns that distort EBITDA or signal messiness. You are not doing forensic accounting. You are looking for things like owner distributions disguised as expenses, personal spending running through the business, large cash withdrawals, or irregular payroll and unusual payments. These are not always deal killers, but they directly affect normalized earnings and often determine whether your LOI needs stronger protections.

When to escalate to Tier 2

If the Tier 1 documents and proof test meets your standards, Tier 2 is the next step. If Tier 1 fails, do not escalate. Either close the gap with specific documentation fast, or walk.

Tier 2: Historical cash flow documents

Only request Tier 2 once the Tier 1 information validates the basics of your investment thesis. This is where you start building a deeper underwriting view, but you still keep the request concise and tied to decisions you need to make.

- 12 to 24 months bank statements (If the business is cyclical, project based, or has had recent volatility, expand the request to 36 months)
- Trailing 12 month balance sheet and cash flow statement
- General ledger export
- Last 3 years tax returns
- Accounting system access such as QuickBooks or Xero

Tier 2 matters because it helps you confirm 4 things that directly impact price, structure, and whether going exclusive is rational. This is where you confirm the business has been stable over time, tighten implied EBITDA, and reduce surprises before you write an LOI and ask for exclusivity.

1. **Consistency:** Are revenue and collections stable across a longer period?
2. **Cash conversion:** Does the business generate cash or quietly consume it through receivables, inventory, or payables games?
3. **Normalization support:** Can you prove the add backs and adjustments in the ledger instead of taking them on faith?
4. **Reporting integrity:** Do tax returns align directionally with the earnings story?

Tier 2 is not about collecting documents. It is about reducing the number of surprises that force renegotiation later.

Tier 2 Proof Test

Tier 2 is still part of validation. You are not trying to do full diligence yet. You are pressure testing whether the story holds over time and tightening the few assumptions that will drive your LOI, mainly implied EBITDA, working capital, and deal protections.

Test 1: Multi month cash consistency

Pick 6 to 12 months and compare deposits to revenue trends. You are not looking for a perfect tie out month by month. You are looking for pattern consistency. If deposits swing wildly, stay materially below revenue for extended periods, or only "work" in a couple strong months, you need a documented explanation before you keep moving.

Test 2: Cash conversion and working capital

Use the trailing 12 month balance sheet and cash flow statement to understand whether earnings actually turn into cash. Watch for receivables growing faster than revenue, inventory building without clearing, or payables being stretched to artificially support cash. These are common points where deals look fine on EBITDA but break once you look at cash.

Test 3: Ledger validation of add backs and expense quality

Use the general ledger to trace the biggest expense lines and any add backs the seller is claiming. The goal is to separate clean one time items, clearly separable personal items, and recurring costs being mislabeled as non recurring. If you cannot trace an adjustment cleanly in the ledger, do not count it in implied EBITDA.

Test 4: Tax return reality check

Tax returns do not need to match the internal P&L exactly, but they should move in the same direction and tell the same profitability story. If tax profitability is materially lower than the seller's earnings narrative, you either need a clear reconciliation or you should assume implied EBITDA is lower and price and structure the deal accordingly.

Decision gate

After Tier 1 and Tier 2 (if you escalated), you need to answer the next question.

Do the numbers hold up well enough to keep investing time and to justify moving toward an LOI?

- **Proceed** when Tier 1 meets your cash flow standards and the concentration and expense picture is clear and normalizable. If you escalated, Tier 2 should confirm stability over time, reasonable cash conversion, add backs that tie cleanly in the ledger, and tax returns that align directionally with the earnings story.
- **Reconsider** when the deal still looks real, but you cannot price or structure it cleanly yet. This typically comes from reconciliations that are plausible but not fully documented, concentration that needs protection, working capital dynamics that change the economics, add backs that are only partially supported, or tax returns that require a clean bridge. Keep moving, but tighten requests and plan explicit LOI protections.
- **Walk** when the story does not validate on documents or the seller will not support basic diligence. That includes material deposit to revenue gaps without documentation, untraceable add backs, major working capital red flags, tax returns that contradict the earnings narrative with no reconciliation, or refusal to provide Tier 1 or Tier 2 after an NDA.

Section 3: The Deal Killer Scan

What this section does

The proof tests tells you whether the numbers are directionally real. The deal killer scan tells you whether the deal is structurally viable. These are the issues that tend to explode later and waste months if you do not surface them early.

You are not trying to solve everything here. You are trying to decide whether to keep moving, whether the LOI needs protection, or whether this is a deal you should walk away from now.

The 5 questions and how to decide

1. Customer concentration context

Ask what percent of revenue comes from the top 3 customers.

- **Proceed** if the customer base is diversified and no single relationship can sink the business.
- **Reconsider** and plan for protection if the top customer is 30 to 50% or the top 3 are heavily weighted and would materially impact earnings if one churns.

- **Walk** if the top 3 are over 70%, or the top customer is over 50% without transferable long term contractual support and a clear retention plan.

2. Owner dependency

Ask what happens if the owner leaves tomorrow.

- **Proceed** if there is real coverage below the owner, relationships are institutional, and core processes are not trapped in one person's head.
- **Reconsider** if the business is owner dependent but there is a credible transition path, including a defined handoff period and key employee retention.
- **Walk** if there is no team, no documented process, and the owner is not willing to stay long enough to transfer knowledge and relationships.

3. Regulatory or legal exposure

Ask about pending lawsuits, investigations, or compliance gaps.

- **Proceed** if everything is clean and current.
- **Reconsider** if issues are fixable and can be contained with specific protections, such as an escrow, reps and warranties, or a remediation plan with deadlines.
- **Walk** if there is material exposure that threatens earnings, licensing, or insurability, or anything that could create an unbounded downside.

4. Asset ownership and control

Ask whether the business owns or leases key assets, including real estate, major equipment, and IP.

- **Proceed** if critical assets and IP sit in the entity you are buying, or leases are normal and transferable.
- **Reconsider** if assets are held personally but the owner is willing to transfer at fair value or lease at market terms in writing.
- **Walk** if the owner insists on above market rent, will not transfer essential IP, or is trying to extract value through side deals that make the economics unworkable.

5. Hidden debt or obligations

Ask about debt, deferred liabilities, or off balance sheet obligations.

- **Proceed** if obligations are disclosed and manageable.
- **Reconsider** if there are smaller items that can be addressed through purchase price adjustments, holdbacks, or payoff at close.
- **Walk** if you uncover undisclosed debt over roughly 20% of EBITDA, material tax liens, or liabilities the seller will not fully disclose and resolve.

Post Scan Action Item

To stay disciplined and organized, you should create a one page scan assessment that lists the 5 areas, what you learned, and the action you are taking in each.

Decision gate

Proceed if the deal is structurally sound and anything you found is clearly manageable.

Reconsider and structure protection if one area creates real risk but can be addressed through terms, transition, or pricing.

Walk if you find multiple structural problems, or if you find one major issue that the seller will not fully disclose, fix, or protect you against.

Section 4: Creating a Quick Underwriting Model

What you are building

This is not full underwriting and it is not a complicated model. It is a fast, defensible way to answer one question before you write an LOI.

What earnings level can I reasonably rely on, and what price range does that support?

Important clarity.

Owner reported EBITDA is what the seller claims. **Implied EBITDA** is the earnings level your analysis supports after you normalize the P&L and pressure test it against cash reality and reasonable margins.

Your LOI should be anchored to implied EBITDA, not the owner's number.

The output from underwriting should be simple. A conservative, base, and optimistic implied EBITDA range, the valuation range supported by each case, and a quick stress view if concentration risk hits.

Step 1: Normalize the P&L

Start with seller reported EBITDA, then adjust only for items you can explain and support. If you cannot point to documentation, do not count it.

Common adjustments that are usually legitimate when documented:

- **Owner compensation above market replacement cost:** If the owner is paying themselves above what it would cost to hire a replacement operator, add back the excess. Use a realistic replacement cost, not a made up number.
- **Documented one time expenses:** Examples include a one time legal settlement, a facility move, a system migration, or a specific non recurring repair. If it happens repeatedly, it is not one time.
- **Documented personal expenses:** Only add these back if they are clearly identifiable and separable. If it is vague, ignore it.

The result of this step is your first implied EBITDA view.

Step 2: Build an implied EBITDA range

You are working with imperfect information. Do not pretend you have a single precise EBITDA number. Build 3 cases.

1. **Conservative case:** Count only clean, documented add backs and haircut anything that is weakly supported.
2. **Base case:** Count most add backs, but still discount anything that is not fully clean.
3. **Optimistic case:** Assume all add backs are real and sustainable.

If the deal only works in the optimistic case, you do not have underwriting. You have hope.

Step 3: Margin reasonableness test

Convert each implied EBITDA case into an EBITDA margin and compare it to industry norms.

If your implied margin is far above what is typical, one of 3 things is usually true.

1. The business truly has a structural edge you can name and defend.
2. Expenses are missing or understated, such as underpaying management, deferred maintenance, or unpaid labor.
3. Revenue or add backs are overstated.

If you cannot clearly explain why margins are unusually high, assume some regression and price off the conservative or base case.

Step 4: Stress test concentration

If there is meaningful customer concentration, run a simple downside case.

Remove the top customer or haircut their revenue and assume short term disruption while you replace the work. Then see what happens to EBITDA and returns.

If losing one relationship breaks the deal, do not fix it with optimism. Fix it with structure, such as an earnout tied to retention, a seller note, a higher escrow, a longer transition, or a lower price.

Initial Underwriting Action Item

Build a one page underwriting model that includes:

- **Implied EBITDA range:** Conservative, base, optimistic
- **Price range supported by each case:** Apply your working multiple range, for example 3x to 5x, to each EBITDA case
- **Draft structure assumptions:** Simple split of cash at close, seller note, earnout, and any escrow or holdback assumptions
- **Base and stress return view:** A quick look at returns under the base case and the downside case so you can see whether the deal is resilient or fragile

This becomes the pricing anchor for the LOI and the basis for any structure protections.

Section 5: Go No Go Checklist

The forcing function

This checklist is the decision tool. If you cannot complete it cleanly, you are not ready to send an LOI because you do not yet have enough clarity to go exclusive.

Go No Go Checklist

A. Deal snapshot

Confirm you can state each item clearly.

1. ☐ Company name, industry, location
2. ☐ Revenue as reported
3. ☐ Implied EBITDA range from your validation work
4. ☐ Seller price expectations or guidance, if shared
5. ☐ Your preliminary valuation range
6. ☐ Your preliminary structure outline
7. If you cannot fill these in, you are missing basics.

B. Thesis clarity

Answer these in plain language.

1. Why does this business make money?
2. What is the defensible edge that keeps it from being a commodity?
3. What is the realistic value creation path with your ownership?

If any answer is generic, you are not ready.

C. Proof test outcome

Confirm Tier 1 validation is complete.

1. ☐ Bank deposits vs revenue tie out is acceptable or explained with documentation
2. ☐ Customer concentration risk is understood and priced or structurable
3. ☐ Expense patterns do not indicate manipulation or unreliable EBITDA
4. ☐ Any and all observed gaps are documented, not explained with stories

If any of these are not true, do not proceed.

D. Deal killer scan outcome

Confirm structural viability.

1. ☐ Customer concentration is survivable or protectable

2. ☐ Owner dependency has a credible transition plan
3. ☐ Legal and regulatory exposure is clean or containable
4. ☐ Key assets and IP are transferable on workable terms
5. ☐ Debt and obligations are disclosed and manageable

If you found a major issue, write how it is protected or why you are walking.

E. Top risks and protections

List your top 3 risks and the specific protection for each.

1. (Risk 1 and the protection)
2. (Risk 2 and the protection)
3. (Risk 3 and the protection)

Protections must be concrete, such as earnout terms, seller note, escrow, retention bonuses, transition length, price adjustment, or a hard diligence condition.

F. Must verify items post LOI

List 3 to 5 items that you think could change how much you would be willing to pay, the deal structure, or your decision.

1. (Item 1 with a clear test and output)
2. (Item 2 with a clear test and output)
3. (Item 3 with a clear test and output)
4. (Optional Item 4)
5. (Optional Item 5)

If you cannot define the test, the item is too vague.

Decision gate

Proceed to LOI if the checklist is fully complete, your thesis answers are specific and credible, the proof test and deal killer scan both cleared or have concrete protections, and your implied EBITDA range is defensible.

Pause if the checklist is mostly complete but you are missing one or two specific items in the proof test, deal killer scan, or underwriting that would materially change price or structure, and you have a firm deadline to get them.

Walk if you cannot complete the checklist without guessing, your thesis is still generic, Tier 1 documents do not validate the story, or any deal killer is structural and not realistically protectable through terms, transition, or pricing.

Module 1 Wrap Up

What you just accomplished

In 14 days and roughly 15 to 20 hours of work, you validated whether the deal is real and underwritable.

You ran a structured first call, completed the proof tests, worked through the deal killer scan, built a quick underwriting view, and finished with a Go No Go checklist that forces a clean LOI decision.

You now have a clear call. Proceed, pause and tighten the facts, or walk. And you can defend that decision without hedging.

Companion resource

If you proceed, your proof tests, scan, and underwriting outputs plug directly into Checkpoint 1 of the **SilverShore Due Diligence Request List & Checklist**, so your diligence requests stay tight, prioritized, and tied to decisions.

Continue to Module 2

Module 2 covers LOI strategy and exclusivity. It shows how to write an LOI that protects you, gets signed quickly, and buys you a clean diligence window without competition.

SilverShore Acquisition Playbook Outline (Module 2)

Module 2: LOI Strategy & Exclusivity

You validated the deal in your initial review. Now you have one job.

Lock up the opportunity long enough to run real diligence without competition, while keeping your terms flexible enough to adjust when diligence turns up new facts.

This is where a lot of buyers mess up. They treat the LOI like a casual step because it is non binding, then act surprised when the seller expects them to honor every line they wrote. The LOI is not a purchase agreement, but it is a credibility document. It sets expectations, frames the economics, and dictates whether you get a clean diligence window.

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Where You Are in the Playbook

You completed initial screening and validation in Module 1. Before you craft your LOI, do a quick reset on what you learned and what that means for your offer.

Quick recap of Module 1

- You screened the opportunity and decided it was worth pursuing.
- You ran the first call and gathered information on revenue model, customer concentration, owner involvement, and seller motivation.
- You built initial underwriting with an implied EBITDA range and created a valuation framework.

You should now have enough information to make a credible offer that reflects business quality and risk.

What you should have from Module 1

At this point, you should not be making an offer based on guesswork. You should have specific underwriting outputs that inform your LOI terms.

Core outputs that drive your LOI:

- **Implied EBITDA range:** Conservative, base, and optimistic scenarios based on seller financials and your normalization adjustments.
- **Valuation range:** Multiple range applied to your EBITDA scenarios, adjusted for risk factors like customer concentration, owner dependency, and industry characteristics.
- **Risk flags identified:** Customer concentration, owner dependency, financial questions needing verification, operational transferability concerns.
- **Seller motivation and timeline:** Whether they are testing the market, ready to sell immediately, or somewhere in between.

These outputs translate directly into LOI terms. Your valuation range becomes your offer price. Your risk flags determine what structure and diligence access you request. Your read on seller motivation informs how you position the offer.

If you do not have clear answers on these items, go back to Module 1 before drafting an LOI.

Quick Start: Your 7 Day Roadmap

- **Day 15** Draft LOI and prep the diligence deliverables list
- **Day 16** Send LOI and schedule the presentation call
- **Day 17** Presentation call Call 1
- **Day 18** Seller review window with advisor
- **Day 19** Negotiation call Call 2
- **Day 20** Finalize edits and prepare the execution packet
- **Day 21** Execute LOI and start the exclusivity clock

What you are trying to accomplish

You are not negotiating a purchase agreement yet. You are trying to achieve 3 outcomes before you invest serious time and money in diligence.

1. **First you need exclusivity.** 30 to 45 days where the seller stops engaging other buyers and commits to your process. Without this, you are doing free diligence for someone who can use your work to negotiate with others.
2. **Second you need structural protection.** Your LOI should reflect the real risks you see through price flexibility, earnouts, seller financing, transition commitments, and working capital mechanics. If concentration is high, the structure should reflect it. If the owner is central, the transition should reflect it.
3. **Third you need clear deliverables and cooperation.** The LOI must specify what you need, who provides it, and when. Vague language like "Seller will cooperate with diligence" is not enough. You need a list with deadlines.

If the seller will not commit to all 3, you don't have a deal, you have a time sink.

Why speed matters here

7 days from LOI send to LOI execution is the target. Speed protects you. The faster you move from presentation to signature, the less time the seller has to second guess, take other calls, or let an advisor overcomplicate the process.

If it takes longer than 7 days, 1 of 2 things is usually happening. Either, the seller is shopping your offer to create competition, or their advisor is slowing things down.

At the end of this phase, you should have a signed LOI, 30 to 45 days of exclusivity, and clear terms that protect you while still leaving room for adjustments once diligence turns up new facts.

Section 1: LOI Components That Actually Matter

What Belongs in an LOI

An LOI is not a purchase agreement. It is a short, practical framework that does 2 things at once. **It outlines the core deal shape** so both sides know what they are signing up for, and **it creates a protected window** where you can run diligence without competition.

In most lower middle market deals, 3 to 6 pages is the sweet spot. Anything longer usually means someone is trying to turn the LOI into a purchase agreement, which slows time to signature and creates noise.

Your goal is clarity. If a term materially affects price, risk, timing, or the seller's cooperation, it belongs in the LOI. If it is legal fine print that belongs in definitive docs, it does not.

The Six Mandatory Elements

1. Price & Structure

Start with a base purchase price or a price range, anchored to your implied EBITDA range from validation. You are setting expectations, not locking yourself into a number you cannot defend later.

Spell out the structure in plain language so there is no ambiguity.

- Cash at close
- Seller note amount, interest rate, and term
- Earnout size, the general metric it tracks, and the timeframe
- Equity rollover percentage if applicable

Include a working capital mechanism that states how your final purchase price adjusts dollar for dollar based on actual working capital at close versus an agreed peg. Also mention that the peg is based on a trailing average with seasonality adjustments where relevant. You can finalize the exact peg amount during diligence, but the LOI should establish the concept and methodology.

2. Exclusivity Period

30 to 45 days is standard for straightforward deals. If financing is involved or the business is operationally complex, aim for 45 to 60 days.

Include extension language tied to seller cooperation. State that if the seller delays deliverables, exclusivity extends by the delay period. This keeps the seller from slow walking materials while your clock burns down.

3. Diligence Scope

List the specific diligence deliverables you need to keep moving and keep them tied to decisions. Start with the Tier 2 financial request package from module 1, then add the operational items that confirm the business is transferable and the economics hold.

Financial deliverables

- **12 to 24 months bank statements:** Confirms cash reality over time and helps you spot seasonality, volatility, and any deposit to revenue gaps that need a real explanation.
- **Trailing 12 month balance sheet and cash flow statement:** Shows whether earnings convert to cash and highlights working capital behavior that can change economics at close.
- **General ledger export:** Lets you validate add backs, trace big expense lines, and separate clean one time items from recurring costs that will follow you post close.
- **Last 3 years business tax returns:** Provides an external reality check on profitability and consistency. If returns and internal books diverge, you need a clean bridge before you price confidently.
- **Accounting system access such as QuickBooks or Xero including read only access and an admin contact:** Speeds up validation and reduces back and forth. It also reveals how reliable the reporting is and whether the books are maintained at a level you can trust.

Operational deliverables

- **Customer list with contact information, revenue by customer, and top customer contracts:** Confirms concentration and durability and shows whether revenue is transferable. Contracts also flag change of control clauses, renewal risk, and dependencies on the owner.
- **Vendor list with spend and key vendor contracts or pricing terms:** Protects margin assumptions by showing where costs can move. It also surfaces single source dependencies, informal arrangements, and pending price increases.
- **Employee census with title, tenure, compensation, and an org chart:** Tells you whether the company can run without the owner and where key person risk sits. It also helps you anticipate retention needs and any comp problems that would hit EBITDA.
- **Facility leases or real estate terms plus a major asset and equipment list:** Confirms the business controls what it needs to operate and flags lease risk, above market rent, upcoming renewals, and capex that could be hiding under the surface.
- **Tech stack map with system ownership, admin credentials plan, and domain and email ownership confirmation:** Prevents operational breakdown after close. You are checking that systems are transferable, credentials exist, and critical tools are not tied to the owner's personal accounts.
- **Corporate documents, licensing and permits, insurance summary, and any litigation or claims overview:** Reduces unbounded downside by confirming the entity is clean, compliant, and insurable. It also helps you identify issues that require specific protections in definitive docs.

Be explicit about access so the process does not stall. State whether you need a site visit, which systems you need logins for, and whether customer or employee outreach is allowed, when it is allowed, and how it will be coordinated. If access rules are vague, diligence drags and exclusivity gets burned.

4. Conditions Precedent

These are the minimum conditions that must be true for you to close. Keep them standard and specific in the LOI so you are protected if diligence changes the story, without making the seller feel like you have an unlimited escape hatch.

- **Satisfactory completion of diligence:** This means you confirm the key items you are underwriting and nothing material shows up that changes earnings, risk, or transferability. Tie it to the deliverables and access you listed so it feels concrete.
  Example: The general ledger and tax returns show EBITDA is materially lower than represented and the add backs are not supportable, so you do not proceed at the proposed terms.
- **No material adverse change:** Protects you if something significant breaks between LOI and close that would change value or risk. Keep the definition practical and focused on real business damage.
  Example: A top customer representing 25% of revenue gives notice they are leaving after the LOI is signed.
- **Internal approval if applicable:** Use this if you truly need an investment committee vote or partner approval before committing to a definitive agreement. Keep it simple and credible, not "buyer can walk for any reason."
  Example: Your investment committee declines because diligence surfaces a customer concentration level that violates your fund's policy.
- **Financing approval if applicable:** If debt is part of the plan, you need lender approval on commercially reasonable terms so you are not forced to close with broken financing. This also sets expectations early if the seller is pushing an aggressive close timeline.
  Example: The bank underwrites the deal but requires a larger equity check than planned, and you cannot secure that equity within the agreed timeline.

5. Transition and Involvement

Spell out what the seller's role looks like after close so there's no confusion later. Clarify whether they are staying full time, part time, in an advisory capacity, or exiting at close.

If the seller is staying involved, include 4 specifics in the LOI

- What they will be responsible for
- How much time they will commit each week
- How they will be paid
- How long the transition lasts with clear handoff milestones.

Vague transition language creates post-close conflict. The LOI is where you prevent that. These conditions will help you avoid the classic post close problem where you expect meaningful help and the seller thinks they are basically done.

6. Binding VS Non-Binding

Be clear about what is binding and what is not.

Price and business terms are non-binding and may adjust based on diligence. Exclusivity and confidentiality are binding.

For larger deals or high third party diligence spend, consider a binding expense reimbursement clause. If the seller backs out without cause after agreed third party costs, they reimburse those costs. Optional, but useful when spend is meaningful.

What Does Not Belong in an LOI

- **Do not include detailed reps and warranties.** Save those for the purchase agreement.
- **Do not include indemnification language.** If you negotiate caps, baskets, escrows, and survival now, you are arguing over unknowns and giving the seller room to win concessions early.
- **Do not include employee retention agreements.** You do not yet know who matters, what compensation looks like, or what retention risk actually is. Keep it as a diligence item, then paper it later.

Decision Gate

Proceed if LOI terms are agreed and signed within seven days.

Reconsider if the seller pushes back on key terms like exclusivity, transition, or core structure. Decide whether their concerns are addressable or whether the gap is too wide.

Walk if the seller will not commit to exclusivity or refuses a specific diligence timeline.

Section 2: Pricing and Structure Framework

How you present price should do two things at once. It should be easy for an owner to understand and it should protect you from the few unknowns that still matter.

The cleaner and more stable the earnings story is, the simpler you can be. The more uncertainty or risk you are carrying, the more your structure should share that risk instead of pretending it does not exist.

3 Ways to Frame Price

1. Multiple-Based Approach

This is one clear purchase price based on a market multiple of earnings.

Owner-friendly framing: "Based on the earnings we have reviewed, we are proposing a purchase price of $9.2M. That is roughly 4x your annual earnings. We chose that multiple because it is consistent with what similar businesses trade for and it reflects the stability and risk profile we have validated through our initial review."

Use this when earnings are clean, stable, and well supported by documents, and you want a simple offer that is easy to explain and easy to sign.

2. Range-Based Approach

This is a purchase price range that narrows after diligence confirms a short list of remaining items, plus a standard working capital adjustment at close.

Owner-friendly framing: "We are proposing a purchase price in the range of $8.5M to $9.5M. The final number depends on confirming a few diligence items and applying a standard working capital adjustment at close. The goal is to land on a fair final number based on what the business needs to operate day to day."

Use this when the deal looks real but there are a few items that could move value meaningfully, and you want flexibility without turning the process into a renegotiation later.

3. Base Plus Earnout Approach

This is cash paid at closing, plus additional upside paid over time if performance holds.

Owner-friendly framing: "We are proposing $8.0M paid at closing, plus up to $2.0M over the next two years if the business hits clear performance targets. In simple terms, you get most of your value now, and the rest is paid as the results prove out."

At LOI stage, you need the earnout to be directional and tied to the risk you are protecting against. Use this when there is a real swing factor that could change earnings after close. Customer concentration, heavy owner transition, or a growth story that is not fully proven. This lets the seller reach full value if things perform, while protecting you if they do not.

Quick Price Framing Rule for Buyers

If the deal only works at a high multiple and perfect assumptions, do not force the multiple approach. Use a range or an earnout to keep the offer fair and keep your downside protected.

The Working Capital Peg Mechanism

The working capital peg is there to protect your purchase price from getting quietly inflated right before close. It is one of the most important protections in your LOI, but most buyers do not understand it until something goes wrong.

Without a peg, a seller can pull cash out, slow down collections, or stretch payables to make the business look better on paper, and you end up funding the shortfall on day one.

How It Works

The working capital peg prevents balance sheet games in the weeks before close.

Working capital = Current Assets - Current Liabilities

(Receivables, inventory, prepaid expenses) - (Payables and accrued liabilities)

The peg is the normal working capital level required to operate. You typically set the methodology in the LOI, then finalize the peg amount once you have full balance sheet detail in diligence. Use a trailing average and adjust for seasonality and unusual months.

At close, compare actual working capital to the peg. The purchase price adjusts dollar for dollar.

If actual working capital is lower than the peg, you reduce the purchase price.

If actual working capital is higher than the peg, you increase the price.

Example in Practice

The working capital peg of a business is $500K based on the trailing average.

At close, actual working capital is $400K because the seller let accounts receivable balloon and stopped paying vendors to preserve cash in their personal account.

You reduce the purchase price by $100K because you are effectively taking over a business that is $100K underfunded.

This is not negotiable at close. It is a mechanical adjustment based on the agreed formula.

Where This Belongs in the LOI

You establish the methodology and concept in the LOI. You finalize the specific peg amount during diligence once you have complete balance sheet history and can calculate the trailing average properly.

Decision Gate

Proceed if pricing and structure are agreed in the LOI.

Reconsider if the seller wants a higher price. Use structure to bridge the gap, such as adding an earnout or adjusting the payment timeline, or require better support for their claimed EBITDA.

Walk if the seller is more than 30% above your valuation and will not negotiate or provide data to justify their number.

Section 3: LOI Negotiation Process

Depending on the seller's readiness and counter proposals, it is important to not force presentation, negotiation, closing into one call. The seller needs time to process and consult their advisor.

The 3 Part Conversation Framework

Conversation 1: Presentation

In the first call, walk the seller through your reasoning like you would explain a term sheet to a business partner.

Start with price and structure, and explain the logic in plain English. If there is an earnout, tie it to a specific risk you observed so it feels fair rather than gimmicky. If there is a seller note, explain the alignment and how it supports a clean transition.

Hear out their initial thoughts, then discuss exclusivity, the diligence list, and the timeline. End by asking for questions and setting the next call.

A good way to wrap up the call would be something like "Take 48 hours with your advisor and let's reconnect on Thursday at 2pm. I will send the LOI right after this call so you have it in writing."

Send the LOI immediately after the call ends. This way they have heard your explanation first, which makes the document easier to process.

Conversation 2: Negotiation

This conversation is where you turn the LOI into something signable without giving up the protections you actually need.

Let the seller talk first so you understand what is driving the pushback, the top two or three changes they want, and their reasoning behind each proposal.

Most pushback falls into a few predictable categories.

If They Say "Another Group Offered More"

Do not chase the headline number. Ask for the structure and certainty. How much is cash at close versus earnout? What is their financing situation? What is their timeline? Do they want exclusivity or are they still talking to multiple groups?

If their offer is real but structured differently, you can bridge with terms such as an earnout, seller note, or working capital peg adjustments instead of just raising price. If the offer is vague or they will not share details, hold your line.

If They Say "No Earnout"

Clarify what they dislike about it. Is it the complexity, the loss of control, or the feeling that they are still being evaluated after close?

Keep the protection but simplify the design. Fewer metrics, a shorter window, clear reporting, and a hard cap. If the earnout is protecting real concentration risk, explain why removing it would require a materially lower upfront price.

If They Say "I Want to Exit Faster"

Adjust the shape of the transition without increasing your risk. Reduce weekly hours, move to advisory sooner, or shift to key milestone-based involvement rather than continuous presence.

Make sure there is still enough involvement to transfer relationships and stabilize operations. If customer concentration is high or the business is owner-dependent, you cannot compress transition without repricing the deal.

Close the call by restating the exact edits you are willing to make, what stays as originally proposed, and the next step to get it signed.

Conversation 3: Closing

Restate the final terms in plain language so there is no ambiguity. Confirm exclusivity starts on signature and review the extension clause tied to deliverables. Be sure to also confirm the deliverables list and deadlines so the seller knows what comes next.

After all parties are on the same page, use DocuSign or a similar service and get the LOI executed that day if possible.

Before the conversation ends, schedule the first diligence session and confirm the first deliverable due date so the deal keeps moving immediately.

What to Watch For During Negotiation

Green Flags

- The seller values certainty and timeline, not just price. This means they want to close and they value a credible buyer who can execute.
- The seller is transparent about concerns. They tell you what is bothering them instead of being vague or evasive.
- The advisor is constructive. They help clarify issues and find solutions rather than creating problems to justify their existence.

Walk-Away Signs

- The seller is shopping your LOI to other buyers to create an auction. If they are transparent about this, walk immediately.
- The advisor pushes purchase agreement level terms into the LOI. Full reps and warranties, 18-month escrow, detailed indemnification language. These belong in larger deals with institutional buyers, not lower middle market transactions.
- The seller will not commit to transition or keeps shrinking their involvement. This signals they do not want to help you succeed.

Decision Gate

Proceed if LOI is executed and exclusivity starts.

Reconsider if the seller counters on one or two terms and the changes do not remove your protection. Decide whether the adjustments are acceptable or whether they fundamentally alter the deal.

Walk if the seller will not sign, keeps shopping, or demands terms that eliminate your protection.

Section 4: Common LOI Mistakes

Most LOI failures follow predictable patterns. You can avoid them if you know what to watch for.

The 5 Ways Buyers Blow Up Deals at the LOI Stage

1. Making It Too Complicated

Some buyers treat the LOI like a purchase agreement. They submit 15 pages with detailed indemnification terms, extensive reps and warranties, and legal language the seller needs an attorney to decode.

This backfires. It scares the seller, makes them wonder if working with you will be a nightmare, and signals inexperience. Sophisticated buyers know the LOI is a framework, not a contract.

Keep it to 3 to 6 pages and keep it about price, structure, exclusivity, diligence scope, and transition expectations. Everything else belongs in the purchase agreement after diligence.

The seller should be able to read your LOI in 15 minutes and understand exactly what you're proposing without calling their lawyer.

2. Locking Yourself Into a Number You Can't Defend

Some buyers think stating a firm price shows confidence. "$10M, no adjustments, final offer."

This creates a trap, and you will find things in diligence that affect value like working capital being lower than expected, a customer is leaving, or an expense you thought was one-time is actually recurring.

When this happens, you either pay the original price even though the business is worth less, or renegotiate and damage trust with the seller.

Build flexibility into your LOI. "$9.5M to $10M subject to final working capital adjustment and completion of diligence." This gives you room to adjust based on what you learn without the seller feeling like you moved the goalposts.

3. Promising What You Can't Deliver

Timeline promises kill deals when they're unrealistic.

A buyer says "close in 21 days" on an SBA deal. SBA takes 60 to 90 days minimum… 3 weeks pass, the close doesn't happen, and the seller starts questioning whether this buyer is credible.

In this mistake, the deal dies from a broken promise on timing, not price.

It is important to be honest about how long the close will actually take based on your resources. SBA financing, say 60 to 75 days. Complex business, say 60 to 90 days. Clean deal with all cash, 30 to 45 days.

Under-promise and over-deliver. If you say 60 days and close in 50, the seller is thrilled. If you say 30 and close in 50, they've lost confidence.

4. Leaving the Transition Vague

Vague transition language creates the most common post-close conflict in LMM deals.

The LOI says "Seller will assist as needed during transition." 3 months after closing the deal, you expect the seller to work 20 hours a week. The seller thinks they've done their part and wants to move on. Neither of you is wrong because nothing was defined.

It is important to be specific in the LOI.

"Seller will work 20 hours per week for six months as a W-2 employee at $100K annualized, focused on customer introductions and team training. After six months, seller transitions to advisory capacity for 18 months, available up to five hours per month."

Both parties now know what to expect. Conflicts get resolved before the LOI is signed, not after close.

5. Pretending the Risks Don't Exist

If you identified customer concentration in your initial conversations or due diligence, you know it's a risk, and the seller knows you know.

Some buyers don't mention it in the LOI, figuring they'll address it later.

This fails because when you come back after diligence and say "We need to restructure because of customer concentration," the seller thinks you're moving the goalposts.

Name the risk in your LOI and tie structure to it.

Example: "Given that the top 3 customers represent 68% of revenue, the earnout will be tied to retention of these customers through year 2. If all 3 customers remain active, the full earnout pays. If any customer churns, the earnout adjusts proportionally."

With this language, the seller understands why the structure looks the way it does and they can't claim surprise later. You've addressed the elephant upfront, which builds trust instead of eroding it.

Section 5: Post LOI Signing Diligence

Once the LOI is signed, you have a protected window. Your job is to use that window to confirm the deal you think you have is the deal you are actually buying, and to do it fast enough that you can either close cleanly or renegotiate with facts.

That is why the post-signing request list has to be specific. Every item should tie to a decision you will make in diligence.

Send the deliverables list from <u>section 2</u> within 24 hours of signing the LOI. Not because you want a giant data room, but because **you need to validate four things that directly drive price, structure, and whether you stay in the deal.**

1. Earnings quality
2. Customer durability
3. Operational transferability
4. Hidden liabilities.

Module 2 Wrap-Up

What You Just Accomplished

In 7 days, you moved from validation to a signed LOI with exclusivity.

You drafted an LOI anchored to implied EBITDA and real risk. You presented it clearly, negotiated efficiently, and executed with momentum. You secured exclusivity with protection against delays. You launched diligence and organized financing in parallel.

You now have a protected window to complete real diligence without competition along with a repeatable LOI strategy for future opportunities.

What Happens Next

You move to **Module 3: Diligence Execution and Findings Management**.

This is where you run the diligence workstreams, validate your assumptions, surface any deal-changing issues early, and manage renegotiation or close with discipline.

Your LOI terms, deliverables list, and underwriting assumptions feed directly into Module 3 as the baseline for validation.

Diligence is not about discovering everything. It is about validating what you already modeled and identifying anything that changes the deal.

Continue to Module 3: **Diligence Execution and Findings Management**.

Go back to Module 1:

About The SilverShore Business Acquisition Playbook

This playbook is based on SilverShore Partners' methodology for facilitating lower middle market transactions. We connect strategic acquirers with business owners across manufacturing, distribution, healthcare services, B2B services, & home services.

For services inquiries, contact Shane Gardner at SilverShore Partners. Email **shane@silvershorepartners.com** or call **281-908-0889.**

The SilverShore Business Acquisition Playbook provides operational guidance, not investment, legal, or financial advice. SilverShore Partners operates as an exempt M&A broker under Section 15(b)(13) of the Securities Exchange Act of 1934. We do not negotiate transactions, provide valuation advice, or structure deals. Consult qualified professional advisors for all transaction decisions.

SilverShore Acquisition Playbook Outline (Module 3)

Module 3: Post-LOI Diligence That Drives Decisions

You have a signed LOI and exclusivity. Now you need to confirm the deal you think you have is the deal you are actually buying.

Most deals do not fall apart because diligence found issues. They fall apart because the buyer surfaces issues too late. If the first time the seller hears the real concerns is when exclusivity is about to expire, it feels like a retrade even when it is justified.

Run your post-LOI diligence like a decision process, not a research project. Each workstream should do 3 things.

- Confirm the underwriting assumptions you built in your initial review.
- Quantify the risks you flagged and attach a dollar impact.
- Convert findings into deal actions fast enough to adjust price, structure, or timeline.

If you uncover a material issue in your QoE work or any other diligence track, raise it immediately. Do not save it for a day 59 surprise.

Where You Are in the Playbook

Before you dive into diligence, do a quick reset on what you already completed and what you should already have in hand. This keeps Module 3 from feeling like a jump and it makes the roadmap below feel like the natural next step.

Quick recap of the prior modules

Module 1: Initial Review and Validation: You screened the opportunity, pressure tested the story, and built your first underwriting view. You should already have a clear picture of the revenue model, the basic cost structure, and an implied EBITDA range that you used to anchor your LOI.

Module 2: LOI Strategy and Exclusivity: You turned that underwriting into a credible offer, secured exclusivity, and set expectations for diligence access. You should already have an executed LOI that includes the diligence scope, access rules, timing, and the working capital peg concept.

Materials you should already have from the seller

At this point, you should not be starting diligence from scratch. You should already have enough documentation to begin Week 1 without delays.

Core financial package

- Trailing 12 month P&L and prior year P&L
- Last 3 years business tax returns
- General ledger export or agreement to provide it immediately
- Trailing 12 month balance sheet and cash flow statement
- 12 to 24 months bank statements
- Read only accounting access and a named admin contact

You cannot validate earnings with summaries alone. These items let you rebuild the numbers from the source and prove whether the cash flow you are buying actually exists.

Core operational package

- Customer list with revenue by customer and top customer contracts
- Vendor list with spend and key supplier terms or contracts
- Employee census and org chart
- Facility lease or real estate terms plus major equipment list
- Tech stack list with system ownership and admin access plan
- Corporate documents, licensing and permits, insurance summary, and any litigation or claims overview

This is the transferability test. A business can look great on the P&L and still be unbuyable if revenue is not sticky, suppliers are fragile, key people will leave, or the systems cannot be handed over cleanly.

Access and coordination rules

- Confirmed site visit expectations, if applicable
- Confirmed system login expectations and timeline
- Confirmed rules for customer and employee outreach, including who introduces and when outreach is allowed

Most diligence stalls are not technical. They are coordination failures. If access is vague, the seller can slow walk without “refusing,” and you burn your window without learning what you need.

If any of the items above are missing, treat it as an immediate execution issue, not a later inconvenience. The rest of this module assumes you can start diligence on day one of exclusivity with real documents and clear access.

Quick Start: Your Diligence Roadmap

- **Week 1 (Days 22 to 28):** Earnings quality deep dive and EBITDA rebuild from the ledger
- **Week 2 (Days 29 to 35):** Working capital peg calculation and cash conversion validation
- **Week 3 (Days 36 to 42):** Customer and revenue validation plus tech stack transfer audit
- **Week 4 (Days 43 to 49):** Operations and team assessment, owner dependency mapping, draft findings
- **Week 5 (Days 50 to 60):** Findings call, negotiate adjustments, move to purchase agreement or walk

What You Are Trying to Accomplish

You are trying to reach three outcomes before you spend real time drafting a purchase agreement.

1. Confirm the underwriting is real

This is the difference between “the seller says it makes money” and “the sources prove it makes money.” Your job is to turn a story into a verified earnings base. Does the implied EBITDA range hold when you recreate the P&L from source documents? If you identified customer concentration risk, is it as bad as you thought, better, or worse?

2. Quantify the risks you suspected and what is uncertain

Most risks are manageable if you can measure them. The moment you can attach a dollar impact to a risk, you can structure around it instead of arguing about it. For example, if there is owner dependency, you need to know exactly which functions the owner performs that have no backup, and what it will cost to replace or transition them.

3. Convert findings into deal actions early

Not every finding matters equally. Some are deal killers that force you to walk. Some require repricing. Some need structural protection like earnouts or escrows. Some are minor and just get noted in the purchase agreement.

Every material finding needs to land in 1 of 4 buckets by week 4.

1. Walk away
2. Reprice
3. Add structure or protection
4. Minor and document only

At the end of this module, you should have a validated EBITDA number, a finalized working capital peg, a customer retention read, a tech transfer plan, and a short list of term changes you are willing to sign.

Why Timing Matters

30 to 45 days is the standard exclusivity window. Use it efficiently or you will lose momentum.

Present findings to the seller in week four, not day 59. This gives you time to negotiate adjustments and still close on schedule. If you wait until the last day of exclusivity to surface problems, the seller will assume you are trying to re-trade and will dig in.

The win condition for this module is simple. You complete diligence with clear findings categorized as walk-away, repricing, structure protection, or minor. You then present your findings early and either proceed to purchase agreement with agreed adjustments or walk cleanly without wasting another month.

Section 1: Earnings Quality & Add-Back Validation

What This Section Is For

You built an implied EBITDA range in Module 1 based on limited information. Now you need to recreate EBITDA from source documents and validate every add-back the seller claimed.

Normalized EBITDA means the sustainable, recurring cash earnings of the business after removing one-time items, non-business expenses, and adjusting for market-rate owner compensation. This is what you are actually buying.

This is where you find out if the business actually generates the cash flow you underwrote, or if the seller's numbers were optimistic.

What you need to start

- General ledger export for the last 24 months
- Monthly P&L for the last 24 months
- Bank statements for the last 12 to 24 months
- Tax returns for the last 3 years
- Add back list with descriptions and dollar amounts

The 4-Step Reconciliation Process

Step 1: Recreate EBITDA from the General Ledger

Export 24 months of transactions from the accounting system. Build your own profit and loss statement by month using the raw data. Compare it to the seller's P&L line by line.

Investigate any variance over 5%. If your revenue number is different from theirs, you need to understand why. Timing differences are normal. Systematic differences are not.

Step 2: Validate Add-Backs with Documentation

The seller claimed add-backs in Module 1. Now you need proof for each one. Invoice, receipt, contract, or clear explanation.

Use the 50% rule for undocumented add-backs. If the seller claims $100K in owner car expenses but has no documentation, assume $50K is legitimate business expense and reject the other $50K. This split is conservative enough to protect you while being fair enough that most sellers will accept it without pushback. You are acknowledging that some personal expenses probably ran through the business, but you are not giving full credit without proof.

Do not give credit for vague or unsupported add-backs. "I probably spend $80K on personal stuff" is not an add-back. That is a hope.

Step 3: Adjust for Missing Expenses

Look for expenses that are not on the books but will hit you after close.

Market rate salary for owner replacement. If the owner is underpaying themselves or working for free, you will need to hire someone or pay yourself a realistic wage.

Health insurance if the owner is on a spouse's plan and it is not showing up in expenses.

Deferred maintenance if equipment is aging and has not been serviced properly.

Professional fees you will incur. Audit, legal, insurance increases. These are real costs that will show up in year one.

Step 4: Build Normalized EBITDA Range

Create three scenarios just like you did in Module 1, but now with complete data.

- **Conservative case:** Assume 50% of undocumented add-backs are real, include all missing expenses you identified.
- **Base case:** Assume 75% of undocumented add-backs are real, include moderate missing expenses.
- **Optimistic case:** Assume 100% of add-backs are real, include minimal missing expenses.

Decision Criteria Based on Delta from Module 1

Compare your new normalized EBITDA range to what you underwrote in your initial diligence.

- **Less than 10% delta:** Proceed at LOI price. Your Module 1 work was accurate and diligence confirmed it.
- **10 to 20% delta:** Renegotiate price or structure. The gap is material but not fatal. You can bridge it with a lower purchase price, adjusted earnout terms, or increased seller financing.
- **Greater than 20% delta:** Walk or require major repricing. The business is not what the seller represented. Either they accept a significantly lower price or you terminate the LOI.

How to Present Findings to the Seller

Do not go quiet and then surprise the seller late in exclusivity. Schedule a findings call in week 4.

Use this script as a framework: "We have completed our EBITDA reconciliation and we are seeing $1.8M in normalized EBITDA instead of the $2.2M we initially underwrote. The difference comes from three areas: $200K in add-backs we could not document, $100K in missing replacement salary, and $100K in deferred maintenance. This does not mean the business is not strong. It means we need to adjust the price to reflect actual cash flow. Here is what we are proposing..."

Then present options. Lower price. Adjusted earnout. Increased seller note. Let them choose the structure that works best for them.

Deliverable

Create a EBITDA reconciliation memo showing your recreated P&L, validation of each add-back, identified missing expenses, and updated normalized EBITDA range with comparison to Module 1 underwriting.

Decision Gate

Proceed if normalized EBITDA is within 10% of your initial underwriting.

Reconsider if the gap is 10 to 20%. Adjust price or add earnout to bridge the difference. The deal can still work if the seller accepts revised terms.

Walk if the gap exceeds 20% and the seller will not accept a material adjustment. Do not talk yourself into a deal where the economics do not work. The only thing that changes your mind is if the seller provides documentation that closes the EBITDA gap, or accepts revised pricing that reflects the lower earnings.

Section 2: Working Capital and Cash Conversion

What This Section Is For

You established the working capital peg concept in your LOI, now you need to calculate the specific peg amount and validate that the business actually converts earnings into cash.

This is where you catch sellers who are draining cash before close or stretching payables to make the balance sheet look better than reality. This section helps you confirm that the seller is leaving the business properly funded at close.

What you need to start

- Month end balance sheets for the last 12 months
- AR aging and AP aging reports
- Cash flow statement
- Bank statements
- Seasonal context that explains swings

How to Calculate the Working Capital Peg

Pull the last 12 months of balance sheets. You need month-end snapshots, not just year-end.

For each month, calculate current assets minus current liabilities to find net working capital.

- Current assets include cash, receivables, inventory, and prepaid expenses.
- Current liabilities include payables and accrued expenses.
- The difference is the net working capital.

Remove outlier months to eliminate seasonal spikes or unusual events. If you have 12 months of data, remove the two highest and two lowest months. If you only have 8 or 9 months, remove one of each. This eliminates distortions without skewing the average.

Average the remaining months. This is your working capital peg.

How the Peg Works at Close

On the day of close, you measure actual working capital using the day-of-close balance sheet. Compare it to the agreed peg.

- **If actual working capital is higher than the peg,** the seller keeps the excess. This is their reward for leaving the business well funded.
- **If actual working capital is lower than the peg,** the purchase price reduces dollar for dollar. You are not paying full price for a business that is underfunded.

This is a mechanical adjustment. It is not negotiable at close. The formula was agreed in the LOI and you are just applying it.

3 Warning Signs to Watch For

1. Declining Working Capital Trend

Compare working capital across the last 3 quarters. If it is declining, the seller may be intentionally or unintentionally draining cash before close.

Red flag test: Working capital down more than 20% in the last 6 months without a clear business reason.

2. Accounts Receivable Aging Deterioration

Request an AR aging report that shows how old the outstanding receivables are.

If 30% or more of AR is over 60 days past due, you may be inheriting collection problems or inflated revenue. This may indicate customer satisfaction problems, cash flow stress, or the seller has stopped actively collecting.

3. Stretched Payables

Request an AP aging report that shows how long the business is taking to pay vendors.

If the business is paying vendors 60-plus days when terms are Net 30, cash is tight. The risk is that vendors may stop shipping after close until they get caught up on payments.

Deliverable

Create a working capital analysis memo showing 12-month working capital trend, proposed peg with rationale, and expected adjustments at close.

Decision Gate

Proceed if working capital is stable or growing and the peg calculation is reasonable.

Reconsider if working capital is declining. Reduce the peg to reflect the actual funding level the business needs, or add a covenant requiring the seller to maintain minimum working capital through close.

Pause if you cannot get clean balance sheet data. Request accounting cleanup before proceeding further.

Walk if working capital has collapsed and it indicates a cash crisis. The business may not be viable. The only thing that changes your mind is if the seller stabilizes working capital before close, or accepts a lower peg that reflects actual funding needs.

Section 3: Customer and Revenue Validation

What This Section Does

You identified customer concentration in Module 1. Now you need to verify that revenue is real, recurring, and not at risk of disappearing after the owner exits.

This is where you actually call the top customers and ask direct questions about retention.

What you need to start

- Customer list with revenue by customer
- Top customer contracts and key terms
- CRM reports or invoicing to validate activity
- Clear LOI rules for customer outreach

The 5 Question Customer Call Framework

Schedule brief calls with the top 10 customers. Fifteen to twenty minutes each. The seller should introduce you, then get off the call so customers speak freely.

Ask these 5 questions in order:

1. "How long have you worked with the seller and what do you buy from them?"
2. "What would it take for you to leave and work with a competitor?"
3. "Are you aware the business is being sold?" If yes, ask how they feel about it. If no, gauge their reaction when you tell them.
4. "What is your approximate annual spend with the company?"
5. "Any concerns with quality, service, or delivery lately?"

Listen carefully. Customers will tell you the truth if you give them space to talk.

Customer Risk Scoring

For each of the top 10 customers, assign a retention confidence score on a 1 to 5 scale.

- **Score of 5:** Multi-year contract in place, customer is happy, no alternatives being seriously considered.
- **Score of 4:** Contract in place but shorter term such as one year, customer is satisfied, low switching risk.
- **Score of 3:** Verbal commitment to stay, customer is generally satisfied, some price sensitivity but not actively shopping.
- **Score of 2:** Month-to-month relationship but historically sticky, some concerns about transition, moderate switching risk.
- **Score of 1:** Month-to-month relationship, customer is considering alternatives, or the relationship is personal to the seller and unlikely to transfer.

If any of your top 3 customers scores a 2 or below, structure protection is mandatory. Earnout tied to retention, retention bonus for the account manager, or extended seller transition to ensure smooth handoff.

Aggregate Risk Assessment

Calculate the average retention confidence score across your top five customers.

- **Average score of 4 or higher:** Low risk, proceed without additional structure.
- **Top customer scores a 3:** Add earnout tied to that customer's retention over one to two years.
- **Any top 3 customer scores 2 or below:** Reprice the deal to reflect the revenue risk, or walk if the concentration is too high to mitigate.

Mitigation Planning for At-Risk Customers

If a customer scores 3 or below, build a specific retention plan.

Introduce yourself to the customer before close with the seller present. Understand what keeps them buying. Is it price, service quality, personal relationship with the seller, or just convenience?

Build retention tactics into your transition plan. Quarterly business reviews, formalized service level agreements, assign a dedicated account manager who is not the seller.

Deliverable

Create a customer risk assessment document that shows each customer, their revenue percentage, retention confidence score, and retention strategy.

Decision Gate

Proceed if top 5 customers all score 4 to 5 on retention confidence.

Reconsider if top customer scores 2 to 3. Add earnout tied to retention or extend seller involvement to 12-plus months.

Walk if any top 3 customer scores a 1, or if two of the top 3 score a 2 or below. The only thing that changes your mind is if the seller commits to extended transition with specific customer handoff responsibilities, or if the at-risk customer signs a new contract before close that removes the personal dependency.

Section 4: Tech Stack and Systems Diligence

What This Section Is For

Tech failures after close kill deals. If the seller's email, CRM, or accounting system is tied to their personal accounts and you cannot transfer it, you are starting over on day one with no access to customer data, financial history, or operational systems.

Most buyers skip this until after close, then discover the seller's laptop has all the passwords and their phone has the multi-factor authentication. Do not make this mistake.

What you need to start

- List of systems and subscriptions
- Ownership details for each account
- Admin access confirmation and provisioning plan
- MFA locations and transfer plan
- Data export ability and integration map

The 4 Part Tech Audit

Part 1: System Inventory and Ownership

Request a complete list from the seller showing all software and subscriptions. Email, domain, accounting, payroll, CRM, payment processor, marketing tools, file storage, and any industry software. For each, document the owner email, who has admin access, and whether the account is tied to the seller personally.

- **For each system, document who owns the account.** Is it registered to a business email, the seller's personal email, or an employee's email?
- **Document admin access credentials.** Who can reset passwords? Who can add new users? Who can export data?
- **Document the payment method.** Is the subscription on a business credit card or the seller's personal card with auto-renewal?

Red flags to watch for:

Critical systems registered to the seller's personal email, such as Stripe, QuickBooks, or Google Workspace.

No documented admin access. The seller is the only person who can reset passwords or add users.

Tools are on the seller's personal credit card. When the card expires or gets cancelled, the subscription lapses and you lose access.

Part 2: Domain and Email Ownership

Ask these critical questions about domain and email:

- Who owns the domain registration? Is it GoDaddy, Namecheap, Cloudflare, or another registrar?
- Is the domain registered to the business entity or the seller's personal email?
- Is email hosted independently through Google Workspace or Microsoft 365, or is it bundled through the domain provider?

Part 3: Data Access and Export

For each critical system, confirm you can export customers, financial history, and operational data. Identify any integrations that will break on transfer so you are not surprised mid transition.

- Can you export customer data from the CRM or email marketing lists?
- Can you export financial history from QuickBooks or Xero?
- Are there API integrations, meaning automated connections between systems, that will break when you transfer account ownership?

Is there intellectual property locked in the platform, such as website designs, content, or proprietary tools?

Part 4: Security and Continuity Risks

If MFA is on the seller's phone, you can get locked out overnight. If passwords live in the seller's head, access becomes a negotiation. If there are no backups, a small tech event can become a real business interruption. Check for these specific risks:

- **Multi-factor authentication (MFA) status.** If MFA is on the seller's personal phone, you will be locked out after close unless they stay involved or transfer it before closing.

- **Password management.** Does the seller have a password vault? If passwords are in their head, they will also leave with them.
- **Backup and recovery.** Who has access to backups? Are they stored locally on the seller's computer or in the cloud where you can access them?
- **Single points of failure.** If the seller's laptop dies or their phone is lost, can you still access critical systems?

Tech Stack Scoring

Rate the tech stack in three areas using a 1 to 5 scale.

Transferability Score

- 5 means all systems are owned by the business entity and fully transferable with documentation.
- 3 means some systems are on personal accounts but the seller will cooperate on transfer.
- 1 means critical systems are locked to the seller's personal accounts and not transferable without major work.

Security Score

- 5 means password vault in place, MFA on business phone, documented access for all systems.
- 3 means passwords are documented but no vault, MFA is on the seller's personal phone.
- 1 means passwords are in the seller's head, MFA is on personal phone, no backups exist.

Single Point of Failure Score

- 5 means multiple people have admin access, cloud backups exist, processes are documented.
- 3 means seller has access and some documentation exists, backups are available.
- 1 means seller is the only person with access, no backups, no documentation.

If the tech stack scores average less than 3, or any individual score is 1, plan for a 30 to 60 day tech migration after close and budget $10K to $50K to complete it.

Deliverable

Tech stack map and transfer checklist showing each system, current owner, transferability score, transfer plan, and status.

Decision Gate

Proceed if tech stack is transferable or seller will cooperate on migration before close.

Reconsider if tech stack requires migration. Escrow $10K to $50K to cover transition costs, or negotiate seller cooperation for 60 days post-close.

Pause if you need an IT consultant to audit the systems before you can assess transferability risk.

Walk if critical systems are non-transferable and the seller will not assist with migration. You cannot run the business without access to core systems. The only thing that changes your mind is if the seller agrees to 60-day post-close tech support with documented handoff, or pays for a migration consultant to handle the transfer.

Section 5: Operations and Team Deep Dive

What This Section Is For

You identified owner dependency in your initial review. Now you need to map exactly which functions the owner performs that have no backup, and assess whether key employees will stay after the transition.

This is where you build retention plans for critical people and extend the seller transition period if needed.

What you need to start

- Org chart and employee census
- Clarity on functional ownership across the business
- Any SOPs, playbooks, or training documents
- Agreement on who you can meet and when

The Responsibility Matrix

List 10 to 12 critical business functions. Sales, operations, finance, customer service, vendor management, hiring, marketing, IT support, quality control, etc.

For each function, document who does it today. Is it the owner, a specific employee, or an outside vendor?

Then ask: Who could do this function if that person left tomorrow?

Key person risk exists when the owner is doing the function and there is no backup. These are the functions you need to address in your transition plan.

Key Employee Conversations Framework

Schedule one-on-one conversations with the top 3 to 5 employees. 20 to 30 minutes each. The seller should not be present so employees speak honestly.

Ask these 4 questions:

- "How long have you been here and what do you do day to day?"
- "What would make you leave and go work somewhere else?"
- "If the owner stepped back tomorrow, could the business continue to run without them?"
- "What is one thing you would change about how we operate if you could?"

Listen for dissatisfaction, frustration with the owner, or concerns about the transition. These conversations will surface where retention risk sits.

Retention Planning for Key Employees

Based on the conversations, categorize each key employee by risk and replaceability.

High risk and hard to replace: Offer a retention bonus. Six to 12 months of salary paid over one to two years, contingent on staying and performing.

Medium risk and replaceable with effort: Offer a stay bonus. Three months of salary paid at 12 months if they remain employed.

Low risk: Offer standard severance package if they leave. No bonus needed.

Deliverable

Operational readiness assessment showing responsibility matrix with key person flags, top 3 to 5 employee retention plans, and owner transition timeline.

Decision Gate

Proceed if key employees are locked in with retention agreements or are replaceable without major disruption.

Reconsider if owner dependency is high. Extend seller transition from six months to 12 or 24 months, or hire a COO before close to absorb some of the owner's responsibilities.

Pause if you need to interview more employees or assess team stability before finalizing retention plans.

Walk if critical employees are already planning to leave, or the owner is truly irreplaceable and will not commit to adequate transition. The only thing that changes your mind is if the seller commits to 12 to 24 month transition with clear handoff milestones, or if key employees sign retention agreements that protect you from turnover.

Section 6: Converting Findings to Deal Actions

What This Section Is For

You have now completed 5 diligence workstreams:

1. Earnings quality in Section 1
2. Working capital in Section 2
3. Customer validation in Section 3
4. Tech stack in Section 4
5. Operations in Section 5.

Now you need to organize what you learned and convert it into specific deal actions.

Do not just write a findings memo and hope the seller figures out what to do. Tell them exactly what needs to change and give them options for how to address it.

The 4 Category Severity Framework

Every finding gets sorted into one of 4 categories based on severity and impact.

1. Walk-Away Findings

These are fatal flaws that make the deal impossible to complete.

Examples include fraud in the financials, undisclosed lawsuit with exposure exceeding the purchase price, top customer has already left but seller did not disclose it, critical systems are non-transferable and seller will not assist.

Action: Terminate LOI immediately. Do not negotiate. Walk cleanly.

2. Repricing Findings

These are material issues that change the economics of the deal but do not make it impossible.

Examples include EBITDA 20% or more below the seller's claim, major customer at high risk of leaving, hidden debt that was not disclosed, working capital is significantly lower than represented.

Action: Reduce purchase price to reflect lower value, increase seller financing percentage, or increase earnout percentage while reducing cash at close.

3. Structure or Protection Findings

These are real risks that can be addressed through deal structure rather than price changes.

Examples include customer concentration that is high but manageable, owner dependency that is strong but transferable with time, regulatory gap that can be fixed with escrow funds.

Action: Add earnout tied to customer retention, increase escrow holdback for specific risks, extend seller transition timeline, add reps and warranties with real teeth.

4. Minor Findings

These are small issues that need to be documented but do not materially affect value or risk.

Examples include small expense timing issues, minor contract renewal coming up in 18 months, office lease expires in two years.

Action: Note in purchase agreement. No price change. Monitor after close.

The 5 Step Structured Renegotiation Process

Step 1: Organize Findings by Impact

Do not dump 47 individual findings on the seller. They will get overwhelmed and defensive.

Group findings into 3 to 5 major themes with dollar impact. EBITDA is lower than claimed. Customer concentration creates retention risk. Owner dependency requires extended transition. Working capital is declining.

Step 2: Schedule a Findings Call

Do this in week 4, not day 59. Say something like "We have completed diligence and want to walk through what we learned. Can we schedule an hour this Thursday?"

Keep the tone factual, not accusatory. You are presenting findings, not attacking them.

Step 3: Present Findings as Facts, Not Attacks

Use neutral language that describes what you found without assigning blame.

Do not say: "You lied about customer concentration and tried to hide how dependent the business is on one relationship."

Do say: "The top customer represents 45% of revenue, which creates meaningful risk after the transition."

The seller will be more willing to negotiate if you stay professional.

Step 4: Offer Structure Options, Not Ultimatums

Give the seller choices for how to address each finding.

"We can handle this three ways. Reduce the purchase price by $400K to reflect the risk. Add a two-year earnout tied to this customer staying. Or extend your transition to 18 months so you can personally ensure the handoff goes well. What works best for you?"

This approach makes the seller feel like they have control, which increases the odds they accept one of the options.

Step 5: Handle Pushback Constructively

The seller will push back on some findings. Do not argue. Redirect to structure.

If seller says "That customer will never leave," respond with "That is great news. Then an earnout tied to them staying should be easy money for you, and it protects us if the unexpected happens."

If seller says "I already disclosed that issue," respond with "You did, and we are not walking because of it. We just need the deal structure to reflect the risk so both of us are protected."

Example Negotiation Scripts

Finding: EBITDA Lower Than Expected

Do not say: "Your numbers were completely wrong and we are reducing the price by $1.6M."

Do say: "We have reconciled the financials and we are seeing $1.8M in sustainable EBITDA versus the $2.2M we initially underwrote. We still like the business, but we need to adjust the price to $7.2M from $8.8M to reflect actual cash flow. Alternatively, we can keep the price at $8.8M but structure it with more earnout. You would get $7.2M at close and the remaining $1.6M paid over two years if EBITDA performance holds. Which approach works better for you?"

Finding: Major Customer Concentration

Do not say: "This customer concentration makes the business worthless if they leave. We need to cut the price in half."

Do say: "Customer X represents 50% of revenue. If they leave, the business loses half its value. We need protection. We are proposing a two-year earnout where if Customer X stays and revenue holds, you get the full earnout of $1.5M. If they leave, the earnout adjusts proportionally based on replacement revenue. This way you get paid for retention and we are both protected if transition does not go smoothly."

Deliverable

Final diligence overview showing executive summary, findings by category, proposed term adjustments, updated purchase price and structure, and next steps.

Include a diligence scoring summary that consolidates all scores from Sections 1 through 5:

- Revenue verification: [1-5]
- Customer concentration risk: [1-5]
- Expense integrity: [1-5]
- Customer retention confidence (top 10 average): [1-5]
- Tech transferability: [1-5]
- Tech security: [1-5]
- Tech single point of failure: [1-5]

Overall diligence health score is calculated as a simple average of all seven scores. While some areas like revenue verification and customer retention typically matter more than others like tech security, averaging all scores gives you a holistic health check. If any single score is below 2, that is an automatic red flag regardless of the average.

Overall diligence health score interpretation:

- 4 to 5: Proceed at LOI terms
- 3 to 4: Proceed with structure adjustments
- 2 to 3: Major repricing or restructure required
- Below 2: Walk

Decision Gate

Proceed to purchase agreement if findings are minor or addressable with agreed structure changes.

Reconsider if major findings require price or earnout adjustment. Present options to seller and negotiate revised terms.

Walk if findings are deal killers, or if seller will not accept necessary adjustments to address material risks. The only thing that changes your mind is if the seller addresses findings with additional documentation that closes gaps, or accepts revised terms that adequately protect you from identified risks.

Module 3 Wrap-Up

What You Just Accomplished

In 30 to 45 days, you completed structured diligence across 5 workstreams and converted findings into deal actions.

- You recreated EBITDA from source documents and validated add-backs.
- You calculated the working capital peg and checked cash conversion.
- You had conversations with top customers and scored retention risk.
- You audited the tech stack for transferability.
- You met with key employees and built retention plans.

With this information you are able to organize your findings into 4 severity categories, present the findings to the seller in week 4 with specific options for addressing each issue, and you either reached agreement on revised terms or walked cleanly.

You now know whether to proceed to purchase agreement, and if so, at what price and with what structural protections.

What Happens Next

If you proceed, you move to **Module 4: Purchase Agreement and Close Preparation**, where you will translate your diligence findings into legal protections, finalize financing, coordinate closing logistics, and execute the transaction.

Your diligence findings summary feeds directly into the purchase agreement.

- Identified risks become reps and warranties.
- Earnout terms get defined precisely.
- Escrow amounts get tied to specific exposures.
- Transition responsibilities get documented with clear milestones.

If you walk, you do so with clear documentation of why the deal did not work, which protects you from claims that you acted in bad faith during exclusivity.

SilverShore Acquisition Playbook Outline (Module 4)

Module 4: Post LOI Deal Structuring & Negotiation

You are in exclusivity and diligence is producing real findings. Now you need to convert those findings into terms the seller can accept and you can actually close on.

This is where many buyers apply the same structure to every deal. They always do 20% earnout, or they always insist on seller financing, regardless of what the seller actually cares about or what the specific risks require. Then they wonder why the seller digs in and rejects a structure that would have worked if framed differently.

Disciplined buyers do something different. They diagnose the seller's personality and motivations first, they match structure to seller type, and they pitch deal levers in a way that makes the seller see the structure as fair or even advantageous, rather than punitive.

This module is that process. The output of this module is a proposed structure package and the exact language you will use to present it.

Where You Are in the Playbook

You just completed Module 3 diligence across five workstreams. Before you dive into structuring, do a quick reset on what you learned and what that means for how you structure the deal.

Quick recap of Module 3

- You recreated EBITDA from source documents and validated normalized earnings.
- You calculated the working capital peg and checked for cash conversion issues.
- You called top customers and scored retention risk.
- You audited the tech stack for transferability.
- You interviewed key employees and assessed owner dependency.

You should now have clear findings organized into 4 categories:

1. Deal breakers
2. Reprice
3. Structure
4. Document Only.

What you should have from Module 3

At this point, you should not be guessing about which risks to address. You should have specific findings that directly inform structure decisions.

Core findings that drive structure:

- **Normalized EBITDA delta:** How far off was the seller's claimed EBITDA from what you validated? A 10-20% gap may require earnout or seller note to bridge. Over 20% requires repricing.
- **Customer concentration scoring:** Did any top 3 customers score 2 or below on retention confidence? That drives earnout tied to retention or extended transition.
- **Working capital trend:** Is working capital stable, growing, or declining? Declining working capital may require escrow or tighter peg.
- **Owner dependency mapping:** Which critical functions have no backup? This determines transition length and whether you need retention bonuses or consulting agreements.
- **Tech stack transferability score:** Did any tech score below 3? That may require escrow until transfer is complete or paid consulting to handle migration.

These findings map directly to the structure options in this module. If you do not have clear answers on these items, go back to Module 3 before structuring the deal.

Quick Start: How This Module Works

- **Week 1 of Diligence (Days 22-28):** Diagnose seller type based on Module 1 conversations and early interactions
- **Week 2 of Diligence (Days 29-35):** Identify which structure options you need based on emerging findings
- **Week 3 of Diligence (Days 36-42):** Prepare structure pitch matched to seller personality
- **Week 4 of Diligence (Days 43-49):** Present structure as part of findings conversation (see Module 3, Section 6)

This module runs parallel to Module 3. As diligence findings emerge, you are simultaneously deciding which deal levers to deploy and how to pitch them.

2 Distinct Tracks

Deal structuring happens in 2 ways depending on when you identify the risk.

Track A: Preventative Structuring

You anticipate risks before problems appear and build structure into the LOI proactively.

Example: Customer concentration is obvious from day one. You include earnout tied to retention in your original LOI. The seller knows from the start that the structure reflects this specific risk.

Track B: Corrective Structuring

You discover issues during Module 3 diligence and need to retrofit structure to address them.

Example: EBITDA comes in 15% lower than expected during your reconciliation in Module 3, Section 1. You add seller financing to bridge the gap without dropping the total purchase price as dramatically.

Both tracks use the same structural levers. The difference is timing and how you frame them. Preventative structure feels like prudent risk management. Corrective structure can feel like a re-trade if not handled carefully.

Note on renegotiation process: For the full renegotiation process including how to present findings and negotiate adjustments, see Module 3, Section 6. This module focuses on choosing the right structure options and pitching them by seller type.

What You're Actually Trying to Accomplish

You are not trying to extract maximum protection from the seller or minimize your risk at all costs. You are trying to accomplish 2 specific outcomes.

1. **First,** match structure to the specific risks you identified in Module 3. If customer concentration is the main risk, the earnout should tie to customer retention. If owner dependency is the concern, extended transition and retention bonuses should be the focus. Structure should solve for the actual problem, not just follow a template.
2. **Second,** present structure in a way that resonates with the seller's personality and motivations. A wealth maximizer will accept earnout risk to hit their number. A certainty seeker will reject that same earnout and take a lower price for more cash at close. The structure you pitch matters less than how well it matches what the seller actually cares about.

If you can accomplish both, the seller will see your structure as reasonable rather than punitive, which makes them far more likely to accept it.

Critical reminder: Structure is deal specific. The examples and ranges in this module are common starting points, not default templates. Your structure should address the actual risks you found in Module 3 and match the seller type you diagnosed in Section 1.

Risk to Structure Mapping

Use this as your initial map from Module 3 findings to deal terms.

- **Customer concentration and retention risk =** Earnout tied to retention, extended transition, escrow for specific renewals if needed
- **EBITDA lower than expected =** Reprice, or bridge with seller note, or earnout tied to EBITDA if the seller stays involved
- **Working capital declining or messy balance sheet =** Tighter peg language, escrow for true up, covenant to maintain levels through close
- **Owner dependency high =** Extended transition, consulting agreement, equity rollover, retention incentives for key people
- **Tech stack not transferable or high continuity risk =** Holdback until transfer complete, written transition support, paid migration support
- **Multiple moderate risks =** Hybrid structure combining two or more components in a way the seller can understand

Section 1: Seller Type Diagnosis

Why diagnosis matters

Before you negotiate structure, you need to understand what motivates the seller. Are they maximizing for price, speed, certainty, legacy, or tax efficiency? Do they want to stay involved or exit completely? Are they sophisticated or selling for the first time?

The 3 diagnostic questions

Ask these questions during your first call with the seller in Module 1, Section 1. Their answers route them to one of five seller types.

Question 1: "What matters most to you: getting the highest price, the fastest close, or the most certainty?"

- If they say price, they are likely a Wealth Maximizer.
- If they say speed, they are likely a Reluctant Seller or Certainty Seeker.

- If they say certainty, they are a Certainty Seeker.

Question 2: "Do you want to stay involved after close, or are you ready to exit completely?"

- If they want to stay involved, they are likely a Legacy Protector.
- If they want to exit, they are likely a Wealth Maximizer or Reluctant Seller.
- If they are unsure or testing options, they may be a Tax Optimizer.

Question 3: "Are you working with an advisor or investment banker?"

- If they hired a banker, they are likely a Wealth Maximizer running a competitive process.
- If they have just an accountant or attorney, they are likely a Certainty Seeker or Tax Optimizer.
- If they have no advisor, they are likely a Reluctant Seller or Legacy Protector.
- Based on these answers, route to the appropriate seller type and adjust your approach accordingly.

The 5 Seller Types

1. The Wealth Maximizer

Characteristics: Focused on price above all else. Willing to take risk through earnouts or seller notes to hit their number. Likely running a competitive process. Sophisticated about M&A and deal structure.

Recognition signals: Mentions multiple interested parties. Asks about your fund size or financing capacity. Pushes back aggressively on structure. Wants competitive tension in the process.

Negotiation approach: Emphasize your speed and certainty of close. Position yourself as faster and more reliable than a PE fund with committee approval processes.

Offer structure that lets them reach their target number even if you cannot pay it all in cash at close. Earnout, equity rollover, or seller note can bridge the gap.

Do not get into a bidding war where price disconnects from value. Walk if the economics do not work, even with creative structure.

Structure approach: Willing to use earnouts and seller notes to reach higher total value. Common starting point might be 60% cash with 40% earnout over two years, but adjust based on specific risks and their willingness to take performance risk.

2. The Certainty Seeker

Characteristics: Wants the deal done without drama. Hates uncertainty and prolonged processes. May accept a slightly lower price in exchange for faster close and simpler structure. Fears the deal falling apart more than leaving money on the table.

Recognition signals: Asks how long to close frequently. Concerned about diligence being invasive or disruptive. Wants simple structure without complicated formulas. May have had a previous deal fall apart.

Negotiation approach: Emphasize your track record of closing deals on time without re-trading. Share examples of past transactions that closed smoothly.

Offer simple structure with mostly cash at close and minimal contingent payments.

Move fast through diligence and do not drag out negotiations. Speed signals seriousness.

Structure approach: Heavy cash at close. Common starting point might be 70 to 80% cash with short earnout of six to 12 months if needed, and small seller note for leverage. Keep total earnout plus seller note under 30% of purchase price as a guideline.

3. The Legacy Protector

Characteristics: Cares deeply about employees, customers, and company reputation. Wants to stay involved after close to ensure smooth transition. Emotional connection to the business they built. Will trade some economics for the right buyer who will treat the business well.

Recognition signals: Talks about taking care of their people. Asks detailed questions about your plans for the team and the business. Wants to meet you in person to assess fit. References the company's values or culture.

Negotiation approach: Talk specifically about your plan for growing the business, not cutting costs. Emphasize investment in the team and operations.

Commit to keeping key employees and offer to include retention bonuses or equity for critical team members.

Offer a meaningful post-close role, not a token advisory position. They want to help ensure success.

Structure approach: Equity rollover so they stay invested in the outcome. Extended transition of 12 to 24 months with real responsibilities. Consider phantom equity or profit sharing for key employees they care about.

4. The Tax Optimizer

Characteristics: Focused on minimizing tax liability through smart deal structure. Working closely with their CPA on options. May prefer installment sale treatment or equity rollover to defer taxes. Sophisticated about tax law and basis.

Recognition signals: Asks about asset versus stock sale early. Mentions their tax basis or depreciation schedule. Wants to defer income to future years. May have highly appreciated assets.

Negotiation approach: Collaborate with their CPA on structure. Position yourself as flexible and willing to work within tax constraints.

Offer seller note which qualifies for installment sale treatment, or equity rollover which defers tax until eventual exit.

Be flexible on asset versus stock sale where possible, though this has its own constraints.

Structure approach: Balance immediate cash with tax-deferred components. Common starting point might be 50% cash at close, 30% seller note over five to seven years, 20% equity rollover. This defers significant tax liability while still providing meaningful cash at close.

5. The Reluctant Seller or Burnout

Characteristics: Two subtypes with different motivations. Reluctant Seller is not sure they want to sell and may be just testing the market. Burnout is exhausted and wants out immediately. Both present high risk of deal falling apart but for opposite reasons.

Recognition signals for Reluctant Seller: Vague on timeline. Says they are just exploring options. No advisor engaged yet. Slow to provide diligence materials. May change their mind partway through.

Recognition signals for Burnout: Says they just want this over. Low engagement in process. Does not push back on terms. Seems relieved when you make an offer.

Negotiation approach: Qualify hard at the beginning. Ask directly: "Are you really ready to sell, or are you just curious about value?" If the answer is not a clear yes, walk away.

If they are serious, move extremely fast before they change their mind or lose motivation.

For Reluctant Seller, any delay gives them time to reconsider. For Burnout, any delay drains their remaining energy to complete the transaction.

Structure approach: Only pursue if they will commit to a fast timeline. Keep structure as simple as possible. They will not engage with complex earnout formulas or extended negotiations. If the deal starts to drag, expect them to back out or check out.

Section 2: Deal Structure Options

The 5 Essential Levers

Every deal uses some combination of these five structure options. Your job is to select the right mix based on the risks identified in Module 3 and the seller type diagnosed in Section 1.

Option 1: Seller Financing (Seller Note)

When to Use

- You need more leverage because the bank will not lend enough to cover your target purchase price.
- The seller wants to demonstrate confidence in the business performance post-close.
- The seller wants tax deferral through installment sale treatment.
- You need to bridge a valuation gap without increasing cash out of pocket at close.

Typical Terms (Common Starting Points)

- 10 to 30% of total purchase price, depending on how much leverage you can secure elsewhere.
- Interest rate of 5 to 7%, which is usually below bank rates but still provides reasonable return to seller.
- Term of 3 to 7 years, typically interest-only payments with balloon payment at maturity.
- Subordinated to senior debt, meaning the bank gets paid first if something goes wrong.

May be forgivable or have offset rights if seller breaches non-compete or material representations.

How to Pitch by Seller Type

To Wealth Maximizer: "The seller note gets you to your target number of $10M while keeping our cash outlay manageable. It also shows the bank you are confident in the business, which helps us secure better financing terms."

To Certainty Seeker: "The note term is short, just three years, and it gives us the leverage we need to close quickly without spending months securing additional bank financing."

To Tax Optimizer: "The seller note qualifies as an installment sale under IRC Section 453, which lets you defer recognition of gain over the note term. This could save you significant tax in year one."

Example Term

"$2M seller note at 6% interest, five-year term, interest-only monthly payments, balloon principal payment due at maturity in year five. Subordinated to senior lender. Seller note reduces dollar-for-dollar if seller breaches non-compete."

Option 2: Earnouts

When to Use

- Customer concentration creates retention risk after the seller exits (Module 3, Section 3).
- Revenue or EBITDA is trending up but the growth is not yet proven or sustainable (Module 3, Section 1).
- The seller is staying involved post-close and has direct influence over performance.
- You need to bridge a valuation gap where the seller wants more than you can justify based on current performance.

Typical Terms (Common Starting Points)

- 10 to 30% of total purchase price. Higher percentages make deals too contingent and reduce seller motivation to close.
- Performance period of one to two years. Rarely longer because business conditions change too much beyond two years.
- Single metric if possible: revenue, EBITDA, or customer retention. Do not overcomplicate with multiple metrics that conflict.
- Cap and floor defining minimum and maximum earnout payout. This bounds the risk for both parties.

How to Choose the Right Earnout Metric

Match the metric to the specific risk you are protecting against:

If risk is customer retention, use customer retention or revenue from specifically named accounts. This is cleanest when concentration is the issue.

If risk is margin integrity or EBITDA uncertainty, use EBITDA with clearly defined add-back rules that match your Module 1 normalization. Document what counts and what does not.

Avoid revenue earnouts when pricing power is changing or product mix is shifting. Revenue can grow while profitability declines.

Define control rights and reporting clearly so the seller cannot claim manipulation. Monthly reporting, access to books, and dispute resolution mechanism should all be specified.

If the seller is staying involved and has operational control, earnouts work well. If they are exiting completely, earnouts create misalignment and should be avoided or kept small.

How to Pitch by Seller Type

To Wealth Maximizer: "The earnout lets us get to your number of $10M total value. You get $8M at close and earn the remaining $2M over two years if EBITDA performance continues. This bridges the gap between what we can pay today and what you believe the business is worth."

To Legacy Protector: "You will still be involved for the earnout period, so you have full control over whether the business hits the targets. This aligns perfectly with your plan to stay engaged during transition."

To Certainty Seeker: "The earnout is only 20% of the total deal value. You are getting 80% at close guaranteed, regardless of what happens after. The earnout just provides upside if things go well."

Example Term

"$1.5M earnout paid over 24 months based on retention of top five customers. If all five customers remain active and revenue from these customers holds steady, full earnout pays. Earnout reduces proportionally for each customer lost, with floor of zero."

Option 3: Equity Rollover

When to Use

- The seller wants to participate in future upside and believes the business will be worth significantly more under your ownership.
- You are building a platform and the seller's business will be the foundation for additional acquisitions.
- The seller is younger and wants a second bite at exit when you eventually sell the combined business.
- Tax deferral is important to the seller and they are willing to stay invested to achieve it.

Typical Terms (Common Starting Points)

- 10 to 30% of the seller's total proceeds reinvested as equity in the new entity.
- Same class and terms as your equity, usually common stock or membership units. Seller is treated as a minority investor.
- May vest over time or on exit event to ensure seller stays engaged during critical transition period.
- Subject to drag-along rights so you can sell the business later without seller blocking the transaction.

How to Pitch by Seller Type

To Wealth Maximizer: "You get $8M cash at close, but you roll $2M into equity. When we exit in five years at a higher multiple, that $2M could be worth $4M or more. You get paid twice on the same business."

To Legacy Protector: "You stay an owner with real equity, which means you have ongoing influence in how the business grows and how we treat the team. You are not just walking away, you are staying part of the story."

To Tax Optimizer: "Equity rollover defers your capital gains tax on the rolled portion until we eventually sell. Based on your tax situation, this could save you $500K or more in taxes today."

Example Term

"Seller rolls $2M representing 20% of total proceeds into equity, receiving 15% ownership in the new entity post-transaction. Equity vests over three years. Seller has pro-rata information rights and tag-along rights but is subject to drag-along on any sale."

Option 4: Holdback or Escrow

When to Use

- The seller has made specific claims you need to verify post-close, such as customer contract terms or renewal timing.
- The working capital adjustment is complex and you need time to finalize the calculation after close (Module 3, Section 2).
- Earnout or indemnification provisions need a funded source in case claims arise.
- You identified specific risks in Module 3 that could materialize shortly after close, such as tech transfer issues (Module 3, Section 4) or working capital deterioration (Module 3, Section 2).

Typical Terms (Common Starting Points)

- 5 to 15% of purchase price held back depending on the magnitude of potential claims.
- Held for six to 18 months depending on what you are verifying or protecting against.
- Released after true-up is complete or no claims are filed within the escrow period.
- May or may not earn interest. If it earns interest, typically the seller keeps the interest.

How to Pitch to Any Seller Type

"The escrow protects both of us. If everything you represented is accurate, which I believe it is, you get the full $500K released in 12 months. It is just a standard mechanism to make sure we are both protected if something unexpected comes up."

Example Term

"$500K held in third-party escrow for 12 months to secure working capital adjustment and indemnification claims. Funds released to seller in full at end of period if no claims are filed. Escrow earns interest at prevailing money market rates, which accrues to seller."

Option 5: Hybrid Structures

When to Use

- The business has a complex risk profile with multiple red flags identified in Module 3.
- There is a large valuation gap between what you can pay and what the seller wants.
- The seller needs flexibility across multiple dimensions: immediate cash, ongoing income, tax deferral, and upside participation.

Example Hybrid Structure (Starting Point)

50% cash at close

20% seller note over five years

20% earnout over two years tied to customer retention

10% equity rollover

How to Pitch

"We have structured this to balance risk and reward across multiple dimensions. You get $5M cash at close, which gives you immediate liquidity. The $2M seller note provides steady income over five years and helps with tax deferral. The $2M earnout rewards you if customers stay, which you have direct influence over during transition. The $1M equity rollover lets you participate in future growth. This gets you to $10M total if the business performs as you expect."

The key is explaining how each component addresses a specific need or concern. Do not just throw structure at the problem. Explain the logic behind each piece.

Section 3: Seller Personalities in Action

Beyond Seller Types

The 5 seller types in Section 1 describe motivations and priorities. This section describes emotional and behavioral patterns that cut across types. A Wealth Maximizer can also be an Emotional First-Timer. A Certainty Seeker might also be a Burned Seller.

Understanding both dimensions helps you navigate negotiations more effectively.

Personality 1: Emotional First-Timer

Characteristics

- Selling a business for the first time.
- Deeply attached to what they built.
- May get emotional or defensive during diligence.
- Takes business critiques as personal attacks.
- Needs time to process decisions.

Recognition Signals

- Gets emotional when discussing the business or their role in building it.

- Uses language like "my baby" or "this company is my life's work."
- Defensive when you point out issues in diligence.
- May need multiple conversations to reach decisions that others would make quickly.

What to Do

- Validate their accomplishments explicitly. Acknowledge what they built before discussing what needs to change.
- Separate business critique from personal critique. "This business is strong and you built something impressive. The issues we found in diligence do not change that. We just need to structure the deal to reflect the risks we are taking on."
- Move slowly and give them time to process. Do not rush them to decisions or they will shut down.

What Not to Do

- Do not rush them through emotional moments. They need to feel heard.
- Do not be clinical or purely data-driven. They need emotional validation alongside the business logic.
- Do not dismiss their feelings. Comments like "it is just business" will backfire.

Example Language

"You have built something really impressive here, and it is clear how much care you have put into this business. What we are seeing in diligence does not diminish that at all. It just means we need to structure the deal to reflect certain risks we are taking on. That is standard for any acquisition. Let's talk about how to address these items in a way that feels fair to both of us."

Personality 2: Sophisticated Repeat Seller

Characteristics

- Has sold a business before, possibly multiple times.
- Knows how M&A works.
- May be testing you to see if you know what you are doing.
- Expects a professional process.
- Brings experienced advisors.

Recognition Signals

- References past deals.

- Uses M&A terminology correctly.
- Challenges your assumptions with specific questions.
- Brought a strong banker or attorney.
- Moves quickly through standard items but slows down on anything unusual.

What to Do

- Be direct and data-driven. They respect clarity and hate unnecessary explanation.
- Move fast through standard process steps. They know what comes next and will get impatient if you drag.
- Acknowledge their experience. "You have done this before, so you know how this works. Here is what we found and here is how we think it impacts value."

What Not to Do

- Do not try to bullshit them. They will see through it immediately and lose respect for you.
- Do not over-explain basic M&A concepts. They already know what an earnout is.
- Do not be intimidated by their experience. Confidence matters.

Example Language

"You know how this works, so I will be direct. We found 3 things in diligence that impact value: EBITDA is $200K lower than expected, top customer concentration is higher than we initially understood, and working capital is declining. Based on these findings, we need to adjust the deal. Let's solve for it with structure rather than just cutting price. What works better for you: earnout tied to customer retention, extended seller note, or some combination?"

Personality 3: Burned Seller

Characteristics

- Had a deal fall apart in the past, often at the last minute.
- Does not trust buyers.
- Paranoid about re-trading.
- May be hostile or defensive from the start.
- Will interpret any request as a sign you are backing out.

Recognition Signals

- Mentions a previous failed deal unprompted.
- Resists reasonable diligence requests.

- Assumes every question means you are looking for reasons to walk.
- May say things like "here we go again" when you raise issues.

What to Do

Acknowledge their past experience directly. "I understand you had a deal fall apart before and that was frustrating. That is not going to happen here. We are committed to closing if the business is as you represented."

Over-communicate and set clear expectations at every stage. Tell them what comes next and when.

Move fast and hit every deadline you commit to. Reliability rebuilds trust.

What Not to Do

- Do not re-trade unless absolutely necessary. If you do need to adjust terms, explain why with data and do it early, not at the last minute.
- Do not miss deadlines or be vague about timing. Every delay reinforces their fear that you will back out.
- Do not be vague about next steps. They need concrete commitments.

Example Language

"I know you had a deal fall apart before and I understand why that makes you cautious. We are not playing games. Here is our detailed timeline with every milestone. We will close on this schedule unless we find something material that was not disclosed. If we do find something, we will talk to you immediately, not surprise you on day 59. You will know where we stand at every stage. Does that work for you?"

Personality 4: Exhausted Burnout

Characteristics

- Tired of running the business.
- Wants out as quickly as possible.
- May accept a lower price just to be done.
- Low energy and engagement.
- Seems relieved when you make an offer, regardless of terms.

Recognition Signals

- Says things like "I just want this over" or "I am ready to move on."
- Low engagement in negotiations.
- Does not push back on terms that others would challenge.
- Seems emotionally checked out.

What to Do

- Move fast. They will lose motivation if the deal drags on.
- Simplify structure. They will not engage with complex earnout formulas or extended negotiations.
- Confirm they will honor transition commitments. They may try to exit early or provide minimal help post-close.

What Not to Do

- Do not assume they will stay engaged post-close. Plan for minimal seller involvement.
- Do not rely on them for a long transition period. Their burnout will only get worse.
- Do not overcomplicate the deal. They want simplicity above all else.

Example Language

"I can see you are ready to move on from the business, and I respect that. Let's keep this simple and move fast. We can close in 45 days with a short 90-day transition to ensure smooth handoff. After that, you are done. Does that timeline work for you?"

Section 4: Framing and Negotiation Moves

5 Moves with Scripts

These are specific techniques for navigating difficult negotiations or breaking through impasses. Use them when standard approaches are not working.

Move 1: The Two-Paths Framework

When to Use

The seller is pushing back on structure or price and the negotiation feels stuck. You need to create movement by giving them real choices.

How It Works

Present 2 distinct options where each favors them on a different dimension. One path gives them higher total value with more risk. The other gives them more certainty with lower total value. Let them choose based on what they actually care about.

Script

"We can structure this two ways, and I want you to choose the path that works better for you.

Option 1: Higher total price of $10M with 30% earnout over two years. You get the number you want if the business performs.

Option 2: Lower price of $9M with only 10% earnout over one year. You get more certainty and cash at close.

Do you want to optimize for total value or certainty?"

This forces them to reveal their true priority and makes them feel like they are in control of the decision.

Move 2: Anchoring with Adjustment

When to Use

You need to reduce purchase price based on diligence findings from Module 3 and want to minimize the perception that you are re-trading.

How It Works

Anchor to the original LOI price, then walk through how specific findings change the valuation. Show the math clearly so it feels like a logical adjustment rather than a new arbitrary number.

Script

"We underwrote the deal at $10M based on normalized EBITDA of $2.5M at a 4x multiple. We are now seeing $2.2M in normalized EBITDA after validating add-backs and adjusting for missing expenses. At the same 4x multiple, that moves the value to $8.8M. We are willing to stay at $9.5M if you will extend your transition from 6 months to 12 months, which reduces our risk on the owner dependency we identified. Does that work for you?"

This approach shows you are applying consistent logic, not just cutting the price arbitrarily.

Move 3: The Risk-Sharing Trade

When to Use

The seller will not accept earnout or other structure that protects you from downside risk. They insist everything is fine and you are being overly cautious.

How It Works

Offer to share the risk mutually. If things go well, they benefit. If things go poorly, you both absorb the loss. This tests whether their confidence is real or just negotiating posture.

Script

"You are confident the top customers will stay after transition, and I want to believe that. Let's both demonstrate our confidence. I will pay you the full $10M if they stay, but if any of them leave in the first 2 years, we both take a proportional hit. I pay less, and you absorb part of the earnout risk. That way we are both incentivized to make sure the transition goes well. Fair?"

If they push back on sharing the risk, their confidence is not as strong as they claim.

Move 4: The "What Would Make This Work?" Question

When to Use

Negotiation has stalled and the seller keeps saying no to your proposals without offering alternative solutions. You need to shift the dynamic from adversarial to collaborative.

How It Works

Stop proposing and start asking. Force them to solve for their own constraints. This often reveals what they actually care about versus what they are using as negotiating leverage.

Script

"I hear you that $9M does not work for you, and I understand your position. Help me understand what would work. Walk me through a structure that gets you comfortable while still protecting us on the customer concentration risk we identified. What does that look like from your perspective?"

This shifts them from critic to problem solver and often surfaces creative solutions you had not considered.

Move 5: Silence

When to Use

After you make an offer or present diligence findings. This is the most underutilized move in negotiation.

How It Works

Stop talking after you make your point. Let the seller process and respond. Most buyers talk too much and end up negotiating against themselves by filling uncomfortable silence with concessions.

Script

"So that is where we are after completing diligence. We are proposing $9.5M with 20% earnout tied to customer retention over 2 years. What do you think?"

Then stop talking. Do not explain further. Do not justify. Do not offer alternatives. Just wait for their response.

The first person to speak usually loses ground in the negotiation. Let them process, ask questions, and reveal what matters most to them.

Module 4 Wrap-Up

What You Just Accomplished

- You learned how to diagnose seller type based on three questions about their priorities, involvement preferences, and advisor situation.
- You learned when to use each of 5 structure options: seller financing, earnouts, equity rollover, escrow, and hybrid structures.
- You learned how to pitch each structure option differently depending on whether you are talking to a Wealth Maximizer, Certainty Seeker, Legacy Protector, Tax Optimizer, or Reluctant Seller.
- You learned how to recognize and navigate four distinct seller personalities: Emotional First-Timer, Sophisticated Repeat Seller, Burned Seller, and Exhausted Burnout.
- You learned 5 negotiation moves for breaking through impasses and creating movement when standard approaches fail.

You now have the frameworks to choose the right structure for the specific risks identified in Module 3 and pitch that structure in a way that resonates with the seller's actual motivations.

How This Integrates with Module 3

Module 3 is the diligence process that surfaces findings. Module 4 is the set of levers you use to address those findings through structure and negotiation.

- When your customer calls reveal retention risk and you score any top 3 customers at 2 or below, you deploy earnout tied to customer retention or extended transition.
- When your working capital analysis shows declining trends or stretched payables, you may add escrow to protect against shortfall or tighten the working capital peg with maintenance covenants.
- When your EBITDA reconciliation shows normalized earnings 10 to 20% below what you initially underwrote, you use the Anchoring with Adjustment move to present the price reduction while showing consistent valuation logic.
- When your tech stack audit reveals transferability scores below 3 or critical systems locked to the seller's personal accounts, you add holdback until migration is complete or negotiate paid consulting support.
- When your responsibility matrix identifies critical functions with no backup beyond the owner, you extend transition length and add retention bonuses for key employees.

The 2 modules work together. Module 3 tells you what needs to be addressed. Module 4 tells you how to address it through structure and negotiation.

What Happens Next

With diligence complete and structure agreed, you are ready to move from handshake terms to binding documents.

Module 5 (*Purchase Agreement and Close Preparation*) shows you how to translate your negotiated structure into a clear purchase agreement, coordinate closing logistics, and execute the transaction without last minute surprises.

This is where you take everything you agreed to and lock it in. The goal is simple. No ambiguity, no missing terms, and no confusion between signing and close.

Module 5 takes your deal from agreed structure to signed documents and a closed transaction.

Continue to Module 5: Purchase Agreement and Close Preparation

Go back to Module 3: Post LOI Diligence

SilverShore Acquisition Playbook Outline (Module 5)

Module 5: Purchase Agreement & Closing Process

You have agreed on deal structure and now you need to convert that handshake into binding legal documents, execute a clean close, and stabilize operations without breaking what works.

This is where many buyers treat the purchase agreement like a legal formality and assume their attorney will handle everything that matters. Then they close the deal, take over on Day 1, and immediately start changing things before understanding why the business works the way it does. Employees get spooked. Customers get nervous. The seller checks out early.

Disciplined buyers do something different.

- They focus on the 10 purchase agreement terms that actually matter and let their attorney handle the rest.
- They test system access before close, not after.
- They spend the first 2 weeks listening and learning, not announcing changes.
- They transfer knowledge systematically so the business can run without the seller.

This module gives you the exact process and the operating cadence to get to close and run the first 90 days without chaos.

Where You Are in the Playbook

You have completed diligence, surfaced findings, negotiated structure, and reached agreement with the seller on revised terms. Before you draft the purchase agreement, do a quick reset on what you have locked in and what still needs to be documented.

Quick recap of Module 3 and Module 4

In Module 3, you completed 5 diligence workstreams: EBITDA reconciliation, working capital analysis, customer validation, tech stack audit, and operations assessment. You organized findings into 4 categories and presented them to the seller with proposed adjustments.

In Module 4, you diagnosed the seller type, selected structure options matched to the specific risks you identified, and pitched those options in a way that resonated with the seller's motivations. You negotiated earnouts, seller notes, equity rollover, escrows, or hybrid structures to bridge gaps and address concerns.

You should now have agreed deal structure ready to be documented in a purchase agreement.

What you should have from Module 4

At this point, you should not be starting the legal process from scratch. You should have clear agreement on the structure components that need to be reflected in the purchase agreement.

Agreed structure ready for documentation:

- **Final purchase price and payment mechanics:** Total price, cash at close, seller note amount and terms, earnout amount and performance metric, equity rollover percentage if applicable.
- **Working capital peg and adjustment:** Final peg calculation from Module 3, Section 2, with mechanism for day-of-close adjustment.
- **Earnout terms if applicable:** Metric chosen (customer retention, EBITDA, revenue), performance period, cap and floor, reporting requirements.
- **Transition structure:** Length of seller involvement, compensation during transition, specific responsibilities they agreed to handle.
- **Escrow if applicable:** Amount held back, duration, what it covers, release conditions.

These agreed terms get translated into specific provisions in the purchase agreement. If you do not have clear agreement on these items, go back to Module 4 before drafting legal documents.

Quick Start: How This Module Works

- **Weeks 1-2 Post-Agreement:** Draft purchase agreement, negotiate the 10 terms that matter
- **Week 3 Post-Agreement :** Final verification, lock in working capital, finalize lender approval
- **Week 4 Post-Agreement:** Closing prep, test system access, prepare Day 1 communications
- **Closing Day:** Execute documents, send wire, transfer access, announce to stakeholders
    - **Weeks 1-2 Post-Close:** Listen and learn, change nothing operationally
    - **Weeks 3-4 Post-Close:** Identify quick wins, begin implementation
    - **Days 31-60 Post-Close:** Execute improvements, reduce seller dependency systematically

This module has two distinct phases. Pre-close focuses on documentation and logistics. Post-close focuses on stabilization and knowledge transfer.

What You're Actually Trying to Accomplish

You are not trying to create the most comprehensive purchase agreement possible or protect against every conceivable risk. You are trying to accomplish 3 specific outcomes.

1. **First,** document your agreed structure clearly in the purchase agreement. The 10 terms that actually matter need to be precise and unambiguous. Everything else can follow standard market language. Your attorney should handle the boilerplate. You need to ensure price, payment mechanics, reps and warranties, indemnification, escrow, non-compete, transition services, and dispute resolution are exactly as you agreed.
2. **Second,** execute a clean close where you have full operational control on Day 1. This means testing system access before close, not discovering password problems after wire has been sent. This means having communications ready for employees, customers, and vendors. This means the business does not skip a beat on Day 1 because you are scrambling to access critical systems.
3. **Third,** stabilize operations before making changes. You need to understand why the business works the way it does before you start improving it. Listen for 2 weeks. Identify quick wins in weeks 3 and 4. Execute improvements methodically while transferring knowledge from the seller so the business can eventually run without them.

If you can accomplish all 3, the deal closes on time with clean documents, you avoid Day 1 operational chaos, and the business is running smoothly 60 days post-close with reduced seller dependency.

Critical reminder: Stabilize, then improve. Do not break what works. The business has been running successfully without you. Respect that before changing things.

Section 1: The 10 Purchase Agreement Terms That Actually Matter

What This Section Is For

The purchase agreement is where your negotiated structure gets documented in binding legal language. Your attorney will produce a 40 to 60 page document with hundreds of provisions. Most of them are standard boilerplate.

Your job is to focus on the 10 terms that actually matter and ensure they reflect what you agreed. Let your attorney handle everything else.

These 10 terms cover economics, risk allocation, and transition. Many provisions interact with each other. For example, escrow shows up in both indemnification and working capital adjustments. Use this as the priority order for where to focus your negotiation time.

Terms 1-4: Economics and Risk Allocation

Term 1: Price and Payment Mechanics

- Base purchase price as agreed in Module 4.
- **Cash paid at close**, including amount and wire instructions.
- **Seller note if applicable:** principal amount, interest rate, term, payment schedule, subordination to senior debt, offset rights for breach of non-compete.
- **Earnout if applicable:** total amount at risk, performance period, specific metric and calculation method, cap and floor.
- **Equity rollover if applicable:** percentage of proceeds reinvested, ownership percentage received, vesting schedule, drag-along rights.
- **Working capital adjustment mechanism:** peg amount calculated in Module 3, Section 2, how actual working capital is measured at close, dollar-for-dollar adjustment up or down, timeline for true-up calculation.

Earnout governance if applicable:

- Who controls operational decisions that affect the earnout metric. Typically buyer has control but cannot make decisions solely to reduce earnout.
- Monthly or quarterly reporting requirements so seller can track performance.
- Audit rights allowing seller to verify calculations if they dispute reported numbers.
- Tie-breaker process if you cannot agree on whether earnout was earned. Usually independent accounting firm review.

Term 2: Representations and Warranties

- **Seller reps covering:** financial statements are accurate, no undisclosed liabilities, seller owns the assets being sold, business is in compliance with laws, no pending litigation, accounts receivable are collectible.
- **Buyer reps covering:** buyer has funding to close, buyer has authority to execute the transaction.

- Breadth of what is covered and survival period for how long reps remain enforceable after close.

Focus on reps that protect against the specific risks you identified in Module 3: customer transferability if you have concentration, regulatory compliance if industry requires it, accounts receivable quality if working capital was an issue.

Term 3: Indemnification

Who pays if representations are breached or liabilities were undisclosed.

Cap on seller's maximum liability, typically 10 to 25% of purchase price for lower middle market deals.

Basket, which is the minimum threshold before claims get paid, typically $10K to $50K for deals under $10M.

Survival period for how long you can make claims, typically 12 to 24 months for general reps, longer for tax and title issues.

Term 4: Escrow

- Amount held back, typically 10 to 15% of purchase price.
- Duration, typically 12 to 18 months.
- What the escrow covers: indemnification claims, working capital shortfall, earnout disputes.
- Release conditions and who controls release decisions.
- Whether escrow earns interest and who keeps it.

Why these 4 terms matter:

This is the economics of your deal and your recourse if something goes wrong.

- Price and payment mechanics define what you pay and when.
- Reps and warranties create your basis for claims.
- Indemnification and escrow define how you get made whole if the seller misrepresented something material.

Any ambiguity here creates expensive disputes later. Be precise on these terms and let your attorney handle standard boilerplate elsewhere.

Terms 5-7: Operational Transfer

Term 5: Non-Compete

- **Geographic scope:** nationwide if business operates online or across regions, specific geography if truly local.
- **Duration:** typically 2 to 5 years depending on industry and seller's age.
- **Scope of restrictions:** cannot compete in same industry, cannot solicit customers, cannot solicit employees.

Term 6: Transition Services

- **Specific responsibilities the seller will perform post-close:** customer introductions, sales support, employee training, operational handoff.
- **Duration:** typically 3 to 12 months full-time involvement, then shift to advisory role.
- **Compensation:** salary during transition period, bonus tied to milestones, or compensation rolled into purchase price.
- **Deliverables and milestones:** what knowledge needs to be transferred, when, and how success is measured.

Term 7: Consents and Conditions Precedent

- Customer consents if required by contract terms, especially for large concentrated customers.
- Vendor consents if key suppliers need to approve ownership change.
- Landlord consent if business leases property.
- Lender approval for your financing.
- Who bears the risk if consent is denied: typically seller refunds purchase price if they cannot deliver required consents.

Why these 3 terms matter:

Without an enforceable non-compete, the seller can start a competing business immediately. Vague transition language leads to disputes when the seller does not show up or provides minimal help.

If a critical customer has change of control language and refuses consent, you may be buying a business that immediately loses its largest revenue source. Document these transfers clearly with specific obligations and consequences.

Terms 8-10: Tax and Process

Term 8: Asset versus Stock Sale

- **Asset sale:** buyer purchases specific assets and assumes specific liabilities. Buyer gets tax step-up benefit. Seller typically pays higher taxes.
- **Stock sale:** buyer purchases all shares or membership interests. Cleaner transfer but no step-up. Seller gets capital gains treatment.

Most lower middle market deals are structured as asset sales because buyers want the tax benefit and do not want to assume unknown liabilities. Work with your CPA to understand trade-offs.

Term 9: Purchase Price Allocation

- How purchase price is allocated across asset categories: equipment, inventory, customer lists, goodwill, non-compete covenant.
- Must be agreed between buyer and seller and reported consistently to IRS.

Work with your CPA to optimize allocation within reasonable bounds. Do not agree to allocation that creates tax problems for you.

Term 10: Dispute Resolution

- Arbitration versus litigation for resolving disputes.
- Jurisdiction: which state's laws govern and where disputes are heard.

Who pays legal fees: typically each party pays their own unless there is egregious breach.

Why these 3 terms matter:

The asset versus stock decision and purchase price allocation directly impact your tax liability and what liabilities you assume. Dispute resolution determines where you fight if something goes wrong post-close.

You do not want to be litigating in the seller's home state if you are based elsewhere. These are straightforward terms but get them right or pay for it later.

What Is Market for Lower Middle Market Deals

Standard reps everyone includes:

Organization and authority, ownership, financial accuracy, no undisclosed liabilities, compliance with laws, no pending litigation, assets in good working order.

Reps worth fighting for:

Customer contracts are transferable, employees are at-will with no union activity, no regulatory violations, accounts receivable are collectible, related party transactions are disclosed.

Reps sellers push back on that you can live without:

"No customer will terminate post-close," "EBITDA will be maintained," "No employee will leave." These cannot be guaranteed and belong in earnout structure, not reps.

Market terms:

- **Survival period:** 12 to 24 months for general reps, 3 to 6 years for tax and title.
- **Indemnification cap:** 10 to 25% of purchase price.
- **Basket:** $10K to $50K for deals under $10M.
- **Escrow:** 10 to 15% of purchase price held for 12 to 18 months.

What to avoid wasting time on:

- Long survival periods for minor reps.
- Uncapped indemnification.
- Detailed operational reps like "every piece of equipment works perfectly."

Managing Advisors Without Letting Them Slow You Down

Your attorney, accountant, and other advisors work for you. You drive the timeline. They advise on legal risk and technical issues. Do not let them become project managers or perfectionists.

Core principle: You lead, they advise.

Before any advisor call, send an agenda 24 hours in advance with 3 to 5 specific decisions you need. Not open-ended questions. Specific decisions. Set a time limit of 30 to 45 minutes.

During calls, force binary decisions like "Is this a deal breaker or nice to have?" and "Do we accept this language or push back?". End with clear action items and deadlines and confirm everything in writing immediately after.

3 questions to ask any advisor:

- "Does this change the economics or risk profile materially?"
- "Is this required to close, or nice to have?"
- "What is the dollar impact if this goes wrong?"

If the answer is immaterial, accept it and move on. Do not let advisors turn the deal into a perfectionism exercise.

How to prevent advisor bloat:

Set a budget cap for all advisors combined, perhaps $50K maximum. Require your approval before any new advisor gets engaged. Ask "Is this required to close?" If not required, defer it to post-close.

Track progress weekly using a simple tracker. If an advisor misses two deadlines, replace them. Your closing date matters more than loyalty to someone who is slow or unresponsive.

Deliverable

Purchase agreement redline tracker showing which terms you care about versus what is standard boilerplate. Your attorney handles standard language. You focus on the 10 terms that matter and the reps that protect against your specific risks from Module 3.

Decision Gate

Proceed if purchase agreement terms are agreed, both parties are comfortable, and you are ready to schedule closing.

Reconsider if seller pushes back on key terms. Negotiate adjustments or revisit deal structure from Module 4.

Pause if your attorney says terms are non-standard and create unusual risk. Get a second opinion before proceeding.

Walk if seller will not agree to market terms or is hiding something in representations.

Section 2: The 30-Day Close Sprint

What This Section Is For

You have an agreed purchase agreement framework. Now you need to execute a 30-day sprint from signed PA to wire sent and deal closed.

This is a sprint. Your job is to push daily, remove blockers fast, and keep the closing date real. If you go quiet for a week, attorneys and lenders will fill the vacuum and your timeline will slip.

Example daily execution cadence:

- **Every morning,** send one email that confirms what is due today, who owns it, and what happens if it is late.
- **Every afternoon,** follow up on anything that did not move.
- **Every Friday,** send a simple status recap to the seller and your advisors with three items: what is done, what is open, and what is at risk.

The 30-Day Close Process

Week 1 is drafting the purchase agreement.

- Your attorney drafts the purchase agreement in week 1 based on the LOI and your agreed structure from Module 4. Push your attorney daily, they will not prioritize your deal unless you make them.
- Send the PA to your attorney 7 days before you need it back and chase daily. Set hard deadlines.

Week 2 is negotiation.

- The seller's attorney reviews and provides redlines.
- You negotiate the 10 terms from Section 1. Don't get distracted by minor legal language changes, focus on economics and risk.
- Every time an issue comes up, ask "Does this change price or structure materially?" If no, accept it and move forward.

Week 3 is verification.

- Pull final month-end financials to ensure no material changes since you completed Module 3 diligence.
- Confirm customers are still active, employees are still employed, contracts are still in force.
- Re-verify your top 3 customers are still engaged with brief check-in calls if needed.

- Lock in the working capital peg calculation from Module 3, Section 2 using final balance sheet numbers.
- Finalize lender approval if using bank financing and confirm wire instructions for all parties.

Week 4 is execution.

- Finalize all closing documents: bill of sale, assignment and assumption agreements, transition services agreement, non-compete agreement.
- Set up your new business bank account and confirm you have access. Prepare Day 1 communications for employees, customers, and vendors.
- Complete tech transfer prep using your tech stack map from Module 3, Section 4.
- Request all system logins 7 days before close.
- Test each login 2 days before close.

Then you close.

- Execute the purchase agreement and all related documents.
- Send wire and confirm the seller received funds.
- Execute bill of sale, assignment agreements, and non-compete.
- Sign transition services agreement and fund escrow if applicable.
- Transfer system access using the checklist from Section 3.
- Send announcements to employees, customers, and vendors.

Deliverable

Closing day checklist ensuring every document is executed, wire is sent and confirmed, access is transferred, and announcements are sent to stakeholders.

Decision Gate

Proceed if purchase agreement is signed, closing is scheduled, and all advisors are on track to hit deadlines.

Pause if advisor delays require timeline extension. Communicate with seller immediately to reset expectations.

Walk if advisors uncover a deal breaker that was not found in diligence and the seller will not address it.

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Section 3: Day 1 Readiness

What This Section Is For

You need full operational control and system access on Day 1 so the business does not skip a beat. This section is the checklist to ensure you can run the business from minute one after close.

Critical Systems Access

Must have on Day 1:

- Bank account with online access and debit card so you can pay vendors and employees.
    - Confirm wire limits, ACH limits, and approval rules before close. If payroll or large vendor payments require a second approver, set that up in advance. Test a small payment before close so you are not discovering limits on Day 2.
- Accounting system with admin access to QuickBooks, Xero, or whatever system they use.
- Email with admin access. Add your email as an alias so you can send and receive as the business.
- Customer communication systems: CRM access, main inbox, phone forwarding setup.
- Payroll system access to Gusto, ADP, or equivalent so you can run payroll without interruption.
- Merchant processing access if customers pay by card.
- File storage and password manager access, including Google Drive or SharePoint, and any shared vault like 1Password or LastPass.

Can wait 30 days:

- Website and domain registration transfer. As long as site stays live, formal transfer can happen post-close.
- Social media account ownership transfer.
- Vendor account updates to change billing contact.
- Insurance policy updates to change named insured.

Access Verification Process

- Request all login credentials seven days before close. Use your tech stack map from Module 3, Section 4 to make sure you have a complete list.

- Test each login two days before close. Do not wait until Day 1 to discover a password does not work or the seller's multi-factor authentication is blocking you.
    - Confirm who controls multi factor authentication. If the seller is the only person who can approve logins, you do not have real access. Move MFA to a shared device or admin account before close.
- Change critical passwords on Day 1 with the seller present so they can help if something breaks.
- Complete full credential handoff using a detailed checklist that documents every system, current owner, login credentials, and transfer status.

Day 1 Communications

Over-communicate in week 1. Employees, customers, and vendors are all nervous about ownership change, so it is important to reassure them early and often.

Tone for all communications:

Optimistic but honest. No layoffs planned, operations continue as normal, you are investing in growth, personal touch matters for top relationships.

Employee email example:

"Team, I wanted to share some exciting news. As of today, [Company] has joined [Your Company]. [Seller] will continue working with us during transition. Your jobs are secure and operations continue exactly as they have been. I will be in the office this week to meet each of you personally."

Customer call approach (with seller on the line):

Seller introduces you to the customer. You emphasize nothing changes: same team, same service, same quality and how you are investing to serve them even better. Let them ask questions, this is about reassurance.

Vendor email approach:

Keep the email brief and transactional. All agreements and payment terms remain in effect. Provide new billing contact if changed. Vendors care that they will get paid on time.

Deliverable

Systems access and credential handoff checklist documenting every critical system, current access status, and transfer completion.

Decision Gate

Proceed if you have full access to all critical systems and Day 1 communications are ready to send.

Pause if you are missing access to critical systems. Delay operational takeover until access is secured.

Escalate if seller is not cooperating on access transfer. Invoke transition services agreement provisions that require their cooperation.

Section 4: First 30 Days Post-Close

What This Section Is For

You need to learn how the business actually works before you start changing things. This section is your guide to stabilizing operations and identifying improvements without breaking what works.

Theme for this entire section: Stabilize, then improve. Do not break what works.

Weeks 1-2: Listen and Learn

Rule: Change nothing operationally in the first 2 weeks.

- Shadow the seller everywhere and be a fly on the wall. Customer calls, vendor meetings, team check-ins, etc.
- Meet every employee one-on-one for 15 to 30 minutes each to ask about their role, what they think is working well, and what is one thing they would change.
- Sit in on customer calls and service delivery. Watch how the business actually operates, not how you think it should operate.
- Review your analysis on the last 90 days of transactions. Look for patterns in revenue, expenses, customer behavior, vendor relationships.

Do not announce changes, fire people, renegotiate contracts, or adjust pricing. The only exception is if something is actively on fire and requires immediate intervention.

It is very important to understand why things are the way they are before you change them.

Spend weeks 1 and 2 just watching and taking notes. Do not intervene unless something is actively burning down and don't walk in on Day 1 with a "here is how we are going to fix this place" speech. Employees will tune out and resist everything you do.

Weeks 3-4: Identify Improvements

Now you can start planning changes. Categorize opportunities into 3 timeframes:

Quick wins to execute in first 60 days:

Low-risk, high-impact improvements that do not require major process changes.

Examples:

- Improve invoicing process to get paid faster.
- Upgrade proposal templates to look more professional.
- Update website with current information.
- Send regular customer updates.

Medium-term improvements for days 60 through 120:

Process improvements that need planning and some investment.

Examples:

- Implement CRM system.
- Hire junior employee to offload administrative work.
- Build or reconstruct the sales pipeline and prospecting process.
- Standardize pricing across customers.

Long-term strategic initiatives for 6 to 12 months:

Major shifts that require careful planning and execution.

Examples:

- Launch new service line.
- Expand into new geography.
- Implement significant price increases.
- Acquire add-on businesses to build platform.

Focus on operational improvements like invoicing, collections, and proposal process before strategic shifts like new products or major pricing changes.

Do not launch 10 initiatives at once. Pick 2 to 3 quick wins, execute them well, then move to the next batch.

Deliverable

First 90-Day Operating Plan breaking down initiatives by timeframe:

- 30-day plan: Stabilize operations and execute quick wins only.
- 60-day plan: Implement medium-term process improvements.
- 90-day plan: Launch long-term strategic initiatives.

Decision Gate

Proceed if business is stable, team is engaged, and quick wins have been identified with execution plans.

Pause if major operational issues are surfacing that were not identified in Module 3. Address these before moving to improvement initiatives.

Escalate if seller is not fulfilling transition obligations from the transition services agreement.

Section 5: Reducing Owner Dependency

What This Section Is For

You need to transfer knowledge and relationships from the seller to you and your team so the business can eventually run without them. This section is the systematic knowledge transfer process.

Knowledge Transfer Timeline

Weeks 1-4: Seller Knowledge Transfer Sessions

- **Session 1: Customer and Vendor Maps:** Key contacts at top 10 customers, what they care about (price, service, relationship, speed), critical vendor relationships and any issues

- **Session 2: Pricing and Proposals:** How jobs are priced, what factors drive decisions, what is negotiable versus not, win rates and why deals fall through
- **Session 3: Financial Close Process:** Month-end process, who does accounts payable/receivable/reconciliations/reporting, what reports matter for running the business
- **Session 4: Crisis Playbook:** Past fires (customer complaints, employee issues, vendor problems), how they were handled, what worked and did not, escalation instincts

Weeks 5-8: Function-by-Function Transfer

- **Week 5:** Customer calls where seller introduces you, you observe and take notes.
- **Week 6:** Customer calls where you lead, seller observes and provides feedback afterward.
- **Week 7:** Vendor management where seller introduces you, you handle renewals and orders with seller copied.
- **Week 8:** Pricing and proposals where you price jobs, seller reviews before you send to customers.

Weeks 9-12: Seller Moves to Advisory

- **Weeks 9-10:** Reduce seller involvement to 50% time, approximately two to three days per week.
- **Weeks 11-12:** Reduce seller involvement to 25% time, approximately one day per week or on-call.
- **Month 4 and beyond:** Advisory only with quarterly check-ins. Available for major customer issues or strategic questions but not involved in day-to-day operations.

Key Employee Step-Up Plan

- Identify 1 to 2 employees who can absorb the seller's responsibilities.
- Give them a raise of 10 to 20% to reflect increased responsibility.
- Give them a real title like VP of Operations or Client Success Manager, not a token promotion.
- Give them ownership of specific functions with clear accountability.
- Tie a retention bonus to hitting measurable targets: revenue retention, margin improvement, customer satisfaction.

Identify your step-up candidate in weeks 1-2 and promote them in weeks 4 to 6. Give them real ownership fast. Don't wait for the seller to leave before promoting key people.

Do not assume the seller will stay for the full transition period outlined in the transition services agreement. People check out faster than you think so it is important to build redundancy early.

Deliverable

Seller dependency reduction tracker showing each critical function, current owner (seller, you, or employee), target owner at 60-90 days, and status.

Decision Gate

Proceed if seller knowledge has been transferred, key employees are stepping up, and business can operate with reduced seller involvement.

Pause if seller remains critical to operations and knowledge transfer is not happening. Extend transition period and adjust compensation if needed.

Escalate if seller is checked out or not cooperating with knowledge transfer. Invoke earnout provisions or transition service penalties from purchase agreement.

Module 5 Wrap-Up

What You Just Accomplished

In 60 days, you took your agreed deal structure, documented it in a purchase agreement focused on the 10 terms that matter, executed a clean close with full system access on Day 1, stabilized operations without breaking what works, and began systematic knowledge transfer to reduce seller dependency.

1. You learned how to manage advisors without letting them slow you down or waste time on immaterial terms.
2. You learned how to focus on the reps and warranties that protect against your specific risks from Module 3 rather than fighting for non-market provisions.
3. You learned how to prepare for Day 1 by testing system access before close and having communications ready for employees, customers, and vendors.
4. You learned the stabilize-then-improve approach: spending weeks 1 and 2 listening and learning, identifying quick wins in weeks 3 and 4, and executing improvements methodically while transferring knowledge from the seller.
5. You now have a closed deal, operational control, and a 60-day plan for reducing seller dependency so the business can eventually run without them.

How This Integrates with Previous Modules

The entire playbook flows from initial screening through post-close stabilization.

- Module 1 taught you how to screen opportunities, run the first call, and build initial underwriting to decide if a deal was worth pursuing.
- Module 2 taught you how to craft an LOI that established price, structure, exclusivity, and diligence expectations.
- Module 3 taught you how to run systematic diligence across 5 workstreams, organize findings into categories, and present them early with proposed adjustments.
- Module 4 taught you how to diagnose seller type, select structure options matched to specific risks, and pitch those options in ways that resonated with seller motivations.
- Module 5 taught you how to document your structure in a purchase agreement, execute a clean close, and stabilize operations post-close.

The modules build on each other. Each finding in Module 3 triggers structure decisions in Module 4 that get documented in Module 5.

What Happens Next

This is the final module in the acquisition playbook. You have taken a deal from initial screening through post-close stabilization.

Beyond day 60, your focus shifts from stabilization to growth. You implement the medium-term and long-term initiatives from your first 90-day operating plan. You continue reducing seller dependency until the business can operate completely independently.

You may also begin looking for your next acquisition, either as an add-on to this platform or as a standalone deal. The playbook starts over with Module 1: screening a new opportunity, running the first call, building underwriting, and deciding whether to pursue.

The difference now is that you have a repeatable process. You know how to screen efficiently, diligence systematically, structure thoughtfully, negotiate effectively, and close cleanly. You have a playbook that works.

Congratulations. You have completed the SilverShore Acquisition Playbook.

Module 5: Purchase Agreement & Closing Process